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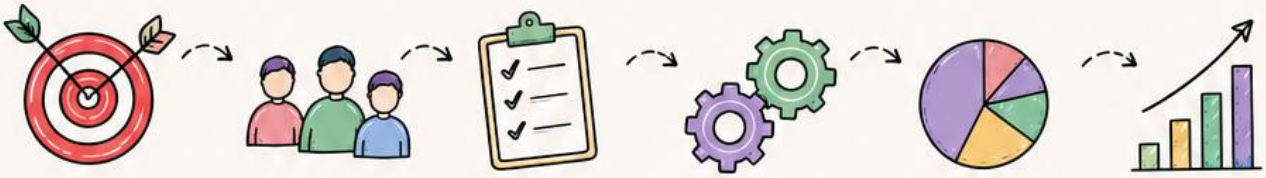
CSEET BUSINESS MANAGEMENT (PART B)

SMART REVISION NOTES



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Smart Revision Notes

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LESSON 7: INTRODUCTION TO MANAGEMENT

I. Foundational Philosophy & Etymology

🔍 Etymological Roots & Linguistic Evolution

The Greek Core: The word "**management**" finds its roots in the ancient Greek word '**nomos**', which directly translates to management or the laws of managing.

The Behavioral Paradigm: At its foundational level, **management is inextricably tied to human elements whose behavior is highly unpredictable.** It shifts from being a static mechanical operation to a **dynamic process** that coordinates erratic human efforts into synchronized institutional progress.

⚖️ Dual Identification: Position vs. Academic Discipline

The module establishes that "Management" cannot be viewed single-dimensionally; it functions simultaneously as:

🏛️ **An Institutional Collective / Position**: It represents a specific pool of human actors—the group of people who accept the legal and operational responsibility to govern an entity and direct its operational activities. It denotes rank, executive position, and statutory authority.

📚**An Academic Field / Discipline**: It is a structured field of study that provides the systematic frameworks for planning, organization, and directional control necessary to run business operations.

💰**The Ultimate Economic Objective**: From an economic viewpoint, the fundamental purpose of any collective business organization or institution is to create wealth. Consequently, the absolute primary role of a manager within this framework is to add value to this wealth-creating process.

- **Management encompasses not only a specific position and rank but also a discipline and field of study.**
- **It is management that provides planning, organization and direction which are necessary for business operations.**
- **In a more fundamental sense, management is a vital function concerned with all aspects of an enterprise's operation.**

2. The Four Pillars of Management Thought (Academic Analysis)

There are 4 distinct academic perspectives that shaped global corporate theory. Understanding the exact focus of each pioneer is critical for mapping out deeper legal-management contexts.

Management is the art of getting things done through people by planning, organizing, directing and controlling the activities of an organization to achieve its goals.

PIONEER	DEFINITION	KEY FOCUS
Mary Parker Follett	"Management is the art of getting things done through people."	Focus on human relations and leadership.
F.W. Taylor	Management is knowing exactly what you want men to do, and then seeing that they do it in the best and cheapest way."	Focus on efficiency and cost reduction (Scientific Management).
Henri Fayol	To manage is to forecast and to plan, to organize, to command, to coordinate, and to control.	Focus on administrative functions (Classical Management).
Peter Drucker	Management is a multi-purpose organ that manages a business, manages managers, and manages workers and work.	Focus on the holistic, organizational role of management.

💡 MCQ Key Point

- **Management is both an art and a science**
- **It involves getting things done through people**
- **Different thinkers emphasized on different aspects - human relations, efficiency and holistic role**
- **But all these definitions aim at achieving organisation goals effectively**
- **Management is universal and applicable in all types of organisation**

3. Genesis & Historical Evolutionary Matrix

Part A. Management in the Ancient and Vedic Era

1. The Vedic Foundations: Texts from the Vedic period (circa 1500 BCE) explicitly outline detailed, complex hierarchical social and professional structures that allowed ancient Indian communities to complete massive, highly complex agricultural and societal tasks.

- **Kautilya's Arthashastra (circa 300 BCE)**:

This functions as humanity's earliest comprehensive management manual. Kautilya's Arthashastra (circa 300 BCE) is the most authoritative ancient management text — covered:

- **Public Administration:** State finance, taxation, foreign policy, and judicial administration.
- **Organisational Design:** Structure of departments with specific roles for superintendents (Adhyaksha).
- **Resource Allocation:** Efficient usage, storage, and distribution of resources.

These ancient structures demonstrate a recognition of specialization, hierarchy, and accountability—the bedrock of modern organizational theory.

2 Management in the Pre-Industrial Era

- **The Roman Catholic Church:** Created a sprawling, global, yet tightly centralized administrative hierarchy that proved to early theorists that an organization could maintain structural integrity across deep geographic divides using functional specialization.
- **The Military Establishments:** Perfected the core operational concepts later adopted verbatim by corporate boards: span of control, unity of command, chain of command, and systematic strategic planning.
- **The Guild & Mercantile Systems:** Introduced early operational controls to the commercial world, tracking metrics like structured apprentice training, manufacturing quality control, and standardized production processes.

💡 MCQ Key Point

- **Earliest comprehensive management text → Kautilya's Arthashastra**
- **Department heads in Arthashastra were called → Adhyaksha**
- **Span of Control and Unity of Command originated from → Military Establishments**
- **Functional specialization across geographical regions → Roman Catholic Church**
- **Apprentice training and quality control were introduced by → Guild & Mercantile Systems**

Part B: The Five Waves of Industrial Revolution

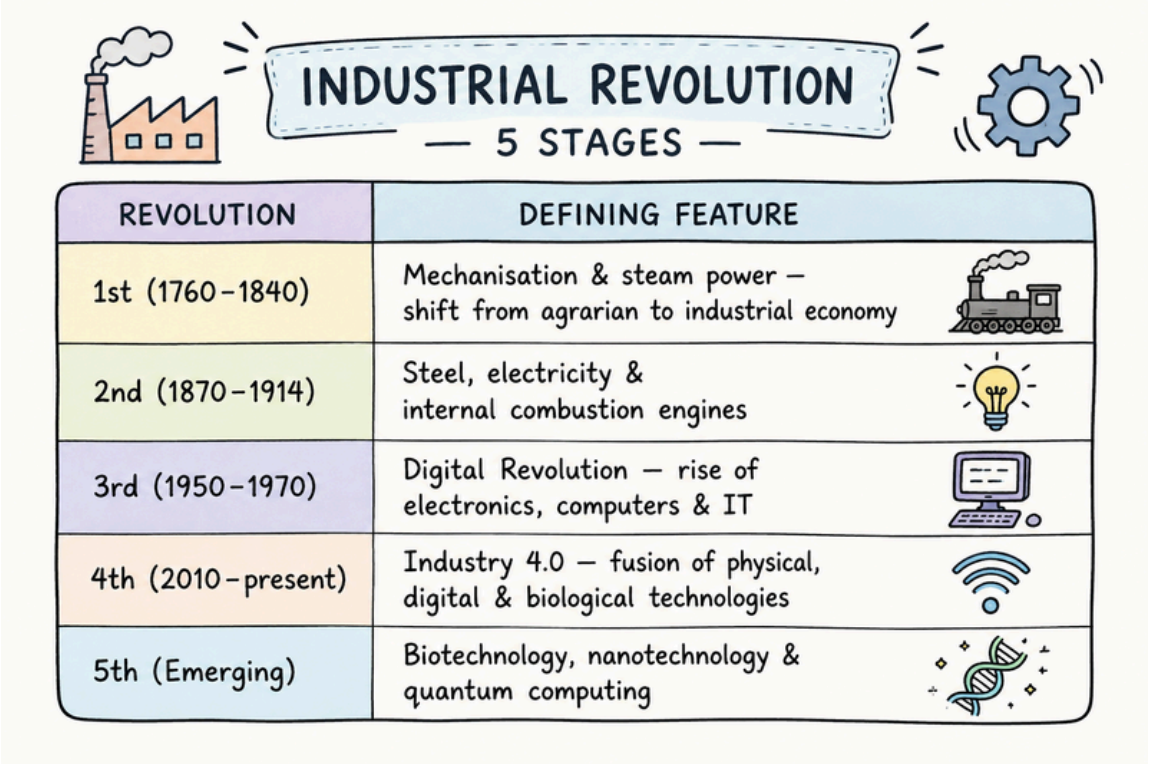
First Industrial Revolution (1760–1840): Defined by the macro shift from manual, home-based agrarian economies to machine-driven industrial centers, powered by early mechanization and steam engines.

Second Industrial Revolution (1870–1914): Driven by massive technological breakthroughs in heavy steel production, electrical grid deployment, and the invention of internal combustion engines, making assembly lines possible.

Third Industrial Revolution (1950–1970): Known globally as the Digital Revolution. It introduced automation via electronics, early computing systems, and mainstream information technology.

Fourth Industrial Revolution (2010–Present): Termed Industry 4.0. It is characterized by a blurred boundary line across the physical, digital, and biological ecosystems (AI, IoT, cyber-physical systems).

Fifth Industrial Revolution (Emerging): Defined by rapid, avant-garde jumps in biotechnology, molecular nanotechnology, and quantum computing frameworks.



4. Axial Features of Management

Management is a unique and dynamic activity characterised by the following features:

Feature	What It Means
🎯 **Goal-Oriented Process**	Management does not exist for its own sake; it is entirely hardwired to hit predetermined organizational targets. All activities (budgeting, coordinating, directing) are directed towards achieving predetermined organisational objectives — profit, market share, service delivery.
🌍 **Universal Application**	It is a mandatory requirement across all variants of human collaboration. • *Cross-Institutional:* The structural core remains identical whether running a school, a bank, a football club, or an OPC/LLP. • *Cross-Hierarchical:* It operates at the **Top Level** (macro strategic planning), **Middle Level** (departmental implementation), and **Supervisory Level** (direct operational control).
🧱 **Multi-Dimensional**	It must manage three entirely different operational facets at once: 1. *Management of Work:* Factoring what tasks must be executed, planning how they will be systematically organized, and assigning who carries them out. 2. *Management of People:* Managing human capital via motivation, staffing, team leadership, and conflict resolution. This remains the most volatile dimension. 3. *Management of Operations:* Tracking the physical production cycle—ensuring raw inputs are smoothly transformed into consumer-ready finished goods or services
🔄 **Continuous Process**	The POSDC cycle (Planning, Organising, Staffing, Directing, Controlling) never stops. Managers plan → execute → control → re-plan in a continuous loop. It is not a project with a fixed end-date. It is a never-ending, circular loop where a manager plans, executes, evaluates control deviations, and immediately re-plans based on real-world results
👥 **Group Activity**	Management integrates diverse individuals with unique goals into a unified effort towards a common organisational objective.
👔**Dynamic Function**	An enterprise does not operate in a vacuum; it is surrounded by volatile external forces (economic, political, social, technological).

	Management must continuously pivot its policies, structures, and goals to survive changes in this environment.
💨**Intangible Force**	It cannot be physically observed or touched. Instead, its existence is inferred through environmental indicators: order, rising productivity, highly motivated workers, and met deadlines indicate good management, while systemic chaos, operational delays, and material waste signal managerial failure.

Think of management like electricity — you cannot see it, but you immediately feel the difference when it is present versus absent. An organisation with good management survives with purpose: people know what to do, things get done on time, problems get solved. Remove management and you have a group of people wandering without direction. The 7 features simply describe the 7 ways in which this invisible force works.

5. The Synthesized Nature of Management

I. Management as a Science (The Variable/Social View)

Science = a body of knowledge systematized through scientific methods.

Management qualifies as a science because it has:

1. **Systematized Body of Knowledge**: Structured theories, principles (unity of command, division of work), and concepts (motivation, hierarchy) developed through research.

2. **Use of Scientific Methods**: Operations research, statistical analysis, simulation models for decision-making.

3. **Cause and Effect Relationships:** Managerial principles attempt to establish cause-and-effect relationships e.g., low morale → low productivity.

⚠️ However, management is NOT an exact science like physics or chemistry (which are exact sciences), management deals directly with human behavior. Because human actions are highly unpredictable, management principles cannot be treated as fixed laws; rather, they are flexible guidelines, making management a Social Science or an Inexact / Variable Science. So it is classified as a *social science or inexact science*. Principles are guidelines, not absolute laws.

II. Management as an Art

Art is the practical application of theoretical knowledge using personal skill, judgment, and creative execution.

1. **Personalised Application:** Two managers facing the same problem may use the same theory but implement it differently based on their individual style and judgment.
2. **Creativity and Innovation:** Devising new plans, strategies, and solutions — a

hallmark of artistic endeavour.

3. **Practice and Experience:** Art is perfected through continuous practice — so too are managerial skills honed through real-world experience.

Management qualifies through personalized application (executives handle crises based on personal style), creativity, and honing skills via hands-on experience and real-world observation.

III. Management as a Profession (The Evaluation Matrix)

A profession requires: specialised knowledge, formal qualification, prolonged academic preparation, and adherence to a code of conduct.

Characteristic of Profession	Management Status	Rationale
Well-Defined Body of Knowledge	**Present**	**Taught in universities (MBA, BBA degrees).**
Restricted Entry	**Not Fully Present**	**No legal requirement for a specific degree (unlike a medical licence) to become a manager.**
Professional Association	**Developing**	**Bodies like AIMA (All India Management Association) exist, but membership is not mandatory.**
Ethical Code of Conduct	**Developing**	**A formal code exists but is often not strictly enforced by a central body.**
Service Motive	**Present**	**Modern management encompasses social responsibility and customer-centric focus.**

IN SIMPLE WORDS — Art, Science or Profession? — The Simple Answer

Think of a doctor. Doctors use science (anatomy, pharmacology), apply it as an art (diagnosis, bedside manner), and follow a professional code (Hippocratic oath). Managers are similar — they use scientific principles (management theories), apply them artistically (based on situation and judgment), and are increasingly following professional standards. So the correct answer is: management is all three simultaneously.

6. TYPES OF MANAGEMENT STYLES

1. Autocratic Management

Principle: Complete centralised authority. The manager dictates work methods, assigns tasks, and controls rewards — alone.

When to Use: Severe operational crises, urgent time constraints, or unskilled labor.

Feature	What It Means
Centralised Decision-Making	**Manager decides alone; subordinates have no say.**
Limited Employee Participation	**Employees are not involved in the decision process.**
Chain of Command	**Instructions flow strictly from top to bottom.**

Example: A Fire Chief during an active building fire — issuing rapid, non-negotiable commands ("Enter through the south door", "Vent the roof now") without any debate.

✅ MERITS	❌ DEMERITS
• Quick decision-making in crisis situations. • Clear chain of command and high accountability. • Effective for unskilled or temporary workers needing strict guidance.	• Low employee morale, creativity, and engagement. • High risk of poor decisions if manager lacks full information. • Can create a hostile or fearful work environment.

💡 MCQ Key Points

- Authority is **completely centralized**.
- Employees have **little or no participation** in decision-making.
- Best suited during **emergencies, crises, or strict deadlines**.
- Decision-making is **fast**, but employee morale may be low.

2. Persuasive Management

Operational Principle: Manager still retains final decision-making authority but explains the "why" behind the decision — to convince, not consult.

When to Use: When the decision is critical but the team needs to understand or feel ownership of the outcome.

Feature	What It Means
Manager Retains Final Authority	**Ultimate decision is the manager's alone — the key difference from autocratic is the effort to explain the "why."**
Emphasis on Communication	**Prioritises clear, persuasive communication; uses active listening to hear and address concerns.**
Rationale and Logic	**Takes time to explain logic, evidence, and benefits of decisions.**
Building Trust	**Values employee input and feedback even if the final decision is unilateral.**

✅ MERITS

- Decisions still made quickly and efficiently.
- Employees feel heard — improves acceptance.
- Reduces resistance compared to pure autocratic style.

❌ DEMERITS

- Still essentially a top-down process; input not truly integrated.
- Weak reasons can breed distrust and resentment.

Example: A factory plant manager mandating a shift to new software but holding an all-hands meeting to show how it protects long-term job security.

💡 MCQ Key Points

- Manager **makes the final decision**.
- Employees are **persuaded using logic and facts**.
- Encourages **acceptance and commitment** without sharing authority.
- Suitable when **change is compulsory but employee support is desirable**.

3. Paternalistic Management

Operational Principle: Mimics a traditional 'parent-child' dynamic. The leader functions as a dedicated parental figure offering care and benefits in exchange for absolute loyalty, trust, and obedience. Manager acts as a "father figure" — provides extensive care and benefits in exchange for loyalty and obedience.

When to Use: Stable, multi-generational, or family-owned corporate setups where high loyalty and harmony are valued.

Feature	What It Means
Leader as Authority	**Makes all final decisions believing they are in the best interest of employees.**
Welfare and Support	**Extensive care for employees' personal and professional well-being.**
Expected Loyalty	**Strong loyalty, trust, and obedience expected in exchange for benefits.**
Reward and Discipline	**Compliance rewarded; non-compliance met with "tough love" disciplinary action.**

Example: The founder of a family bakery who pays for employees' children's education but retains unquestioned authority over all business practices.

✅ MERITS

- High employee loyalty and low turnover.
- Clear, quick decisions.
- Very harmonious work environment.

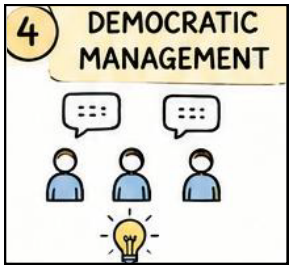
❌ DEMERITS

- Employees can become over-reliant on the manager.
- Creates a "parent-child" dynamic — hinders initiative.
- Culture can collapse if the manager leaves.

💡 MCQ Key Points

- Based on **parent-child relationship**.
- Leader provides **care and welfare** in exchange for loyalty.
- Common in **family-owned businesses**.
- Employees are **consulted less but well looked after**.

4. Democratic Management



Operational Principle: Shared governance built directly upon decentralization and majority rule. The manager acts strictly as an objective facilitator or moderator. Decisions made based on majority rule. Manager serves as facilitator — authority is decentralized.

When to Use: When team expertise is high, creativity is needed, or decision acceptance is crucial for successful implementation.

Example: A marketing team leader gathering copywriters and designers to debate and vote on the final campaign slogan.

Feature	What It Means
Participative Decision-Making	**Employees are engaged in the decision process and can offer unique perspectives.**
Empowerment of Employees	**Employees can voice opinions, take responsibility, and are engaged in achieving goals.**
Open Communication	**Transparency in communication flows between employees and managers.**

✅ MERITS

- High morale and commitment.
- Better, more innovative decisions by pooling expertise.
- Develops team skills and experience.

❌ DEMERITS

- Slow decision-making due to meetings and consensus-building.
- Ineffective in crisis or high-pressure situations.
- A dominant individual can hijack the group decision.

💡 MCQ Key Points

- Decision-making is **shared** with employees.
- Encourages **team participation and collaboration**.
- Best for **creative and knowledge-based work**.
- Improves **motivation and innovation**, though decisions may take longer.

5. Consultative Management

Operational Principle: Manager actively seeks input from employees before deciding — but the final call remains with the manager.

When to Use: Complex technical projects where expert input is necessary but strategic control cannot be compromised.

Example: A corporate CEO running consultation rounds with the CFO, Legal Counsel, and Head of HR before single-handedly deciding on an acquisition.

Feature	What It Means
Final Decision by Manager	**Leader maintains ultimate authority; not bound to follow team consensus.**
Active Solicitation of Input	**Proactively asks team members for knowledge, experience, and feedback — open-door policies, discussion sessions.**
Two-Way Communication	**Manager informs team of the problem; team offers suggestions and perspectives.**
Increased Employee Engagement	**Involvement boosts morale, motivation, and commitment.**

✅ MERITS

- Combines speed of single decision-maker with wisdom of collective input.
- Employees feel their expertise is valued.
- Better-informed decisions.

❌ DEMERITS

- Employees frustrated if input is consistently ignored.
- Heavily reliant on manager's ability to synthesise advice.

💡 MCQ Key Points

- Manager **seeks opinions before deciding**.
- Final authority **remains with the manager**.
- Suitable for **technical or specialized decisions**.
- Improves **decision quality through expert inputs**.

6. Transformational Management

Operational Principle: Leader inspires employees to look beyond self-interest for the good of the group — uses the **4 I's: Idealized Influence (charisma), Inspirational Motivation (vision), Intellectual Stimulation (innovation), Individualized Consideration (coaching).**

When to Use: During periods of significant change, restructuring, or when high creativity and buy-in are needed for a new vision.

Real World Example: Elon Musk (early SpaceX/Tesla days) — inspired engineers to believe they could achieve the "impossible" by challenging norms and linking their daily work to a world-changing vision.

Feature	What It Means
Visionary Leadership	**Communicates a clear, compelling picture of the organisation's future.**
Charismatic Leadership	**Influences through personal charisma, enthusiasm, and dedication to mission.**
Intellectual Stimulation	**Encourages creativity by questioning conventional assumptions and promoting curiosity.**

✅ MERITS

- Highly engaged, innovative, high-performing culture.
- Excellent for driving major organisational change.
- Develops employees into future leaders.

❌ DEMERITS

- Requires high charisma and skill from the manager.
- Ineffective in stable, routine environments.
- Results can take a long time to materialise.

💡 MCQ Key Points

- Focuses on **vision, inspiration and organizational change**.
- Motivates employees to **exceed expectations**.
- Best during **major transformation or restructuring**.
- Encourages **innovation and continuous improvement**.

7. Visionary Management

Operational Principle: The leader focuses entirely on mapping out an exciting, long-term strategic destination (the 'what'), while giving the workforce high autonomy to innovate the execution path (the 'how'). Focus is on long-term direction.

When to Use: Rapidly scaling companies or organizations that have gone adrift and need immediate strategic direction.

Feature	What It Means
Inspiring Future Vision	**Articulates an exciting, bold, persuasive picture of the future that fosters shared purpose.**
Empowerment and Autonomy	**Communicates the destination — gives the team freedom to determine the best route.**
Innovation and Strategic Risk-Taking	**Encourages out-of-the-box thinking; comfortable with uncertainty and status quo disruption.**
Focus on Long-Term Goals	**Strong emphasis on long-term strategic alignment — may overlook short-term operational issues.**

Example: A CEO who enters a struggling company, paints a bold vision of where the company will be in 5 years, and empowers each department to find their own path to get there.

✅ MERITS

- Provides strong motivation and purpose.
- Encourages innovation within the framework of the vision.
- Great for new, growing, or rapidly changing companies.

❌ DEMERITS

- Can fail if not supported by concrete, actionable steps.
- Team may get lost without sufficient operational guidance.

💡 MCQ Key Points

- Leader defines the **long-term direction ("What")**.
- Employees decide **how to achieve the vision**.
- Suitable for **rapid growth and strategic change**.
- High level of **autonomy and innovation**.

8. Coaching Management

Operational Principle: Manager views team members as having high potential — focuses on developing their long-term strengths via questions, feedback, and goal-setting.

When to Use: With talented employees who are receptive to growth, or in organisations that prioritise long-term talent development.

Example: A partner at a professional firm asking a junior associate probing questions about client needs to guide their presentation design rather than doing it for them.

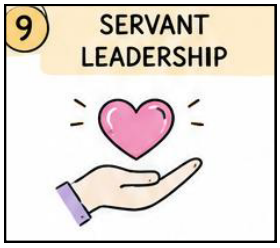
Feature	What It Means
Guided Problem-Solving	**Uses questions (e.g., "What is the best solution?") — shifts ownership from manager to individual.**
Focus on Long-Term Capability	**Prioritises individual skills and potential development over short-term task completion.**
Empowerment and Self-Reliance	**Builds employee confidence, self-awareness, and accountability through supportive guidance.**
Continuous Developmental Feedback	**Frequent, constructive feedback aimed at improving future performance and nurturing a learning culture.**

✅ MERITS	❌ DEMERITS
• Maximises employee potential and skills. • Creates a resilient, self-sufficient team. • High retention among motivated employees.	• Time-consuming; requires significant manager-employee interaction. • May not work with employees who resist self-improvement.

💡 MCQ Key Points

- Focuses on **employee development and learning**.
- Manager guides using **questions rather than instructions**.
- Best for **high-potential and willing employees**.
- Builds **future leaders and long-term capability**.

9. Servant Leadership



Operational Principle: Built upon a 'service-first' philosophy. The leader's primary priority is the growth, well-being, and empowerment of the people they lead. Authority is earned through respect, not position.

When to Use: Knowledge-based organisations, non-profits, or any context where collaboration, empathy, and ethical standards are critical.

Example: A restaurant kitchen executive chef stepping down to wash dishes alongside line cooks during intense rush hours to keep the kitchen running smoothly.

Feature	What It Means
Serving First Mentality	**Core motivation = prioritise needs and well-being of followers, organisation, and community. Leading is secondary to serving.**
Fostering Growth and Development	**Fundamentally committed to personal, professional, and spiritual growth of every team member.**
Active Listening and Empathy	**Practices deep listening to truly understand team concerns — genuine empathy and acceptance.**
Stewardship and Ethical Foresight	**Acts as responsible steward — uses foresight to make ethical, long-term decisions.**

✅ MERITS

- Extremely high trust, loyalty, and morale.
- Empowered employees are highly productive.
- Creates a strong, ethical, collaborative culture.

❌ DEMERITS

- Difficult in highly hierarchical or bureaucratic organisations.
- May be viewed as a lack of authority in tough situations.

💡 MCQ Key Points

- Leader's priority is **serving employees first**.
- Builds **high employee engagement and loyalty**.
- Common in **non-profits and people-centric organizations**.

10. Laissez-faire Management

Operational Principle: A hands-off approach characterized by minimal direct supervision. Manager provides necessary resources and objectives but allows the team to define their own structure, processes, and decisions. (Also called Delegative Management)

When to Use: Managing highly skilled, self-motivated experts (e.g., R&D teams, creative professionals) who thrive on autonomy.

Module Case Example: The director of an advanced scientific research lab allowing veteran PhD researchers complete freedom to direct their own laboratory experiments.

Feature	What It Means
Employee Autonomy	**Employees work independently, define their own methods and schedules.**
Limited Supervision	**Managers minimally involved — intervene only when requested.**
Trust in Employees	**Philosophy: employees are fully capable of doing their jobs without constant involvement.**

✅ MERITS

- Maximum autonomy, creativity, and job satisfaction for highly skilled workers.
- Quick project completion when team is fully capable.
- Managers can focus on high-level strategy.

❌ DEMERITS

- Can lead to lack of cohesion, poor coordination, and missed deadlines if team lacks discipline.
- Completely ineffective for new or unskilled teams.

💡 MCQ Key Points

- **Minimal supervision** by the manager.
- Employees enjoy **maximum freedom and autonomy**.
- Suitable for **experienced, skilled and self-motivated teams**.
- May lead to **lack of coordination** if employees are inexperienced.

All 10 Management Styles — Quick Comparison

Style	Core Principle	Best Used When	Key Risk
Autocratic	Manager decides alone — full control	Crisis / unskilled team	Low morale
Persuasive	Decides alone but explains the "why"	Decision needs team buy-in	Distrust if reasons are weak
Paternalistic	Father-figure; welfare in exchange for loyalty	Stable, long-term orgs	Over-dependence
Democratic	Majority vote; shared governance	Creative / expert teams	Slow decisions
Consultative	Manager asks, listens, then decides	Technical expert input needed	Frustration if input ignored
Transformational	Inspire through vision + charisma	Major change / restructuring	Slow results
Visionary	Articulate destination; team chooses path	New direction / disruption	Lack of operational detail
Coaching	Develop people via questions & feedback	Talented, growth-oriented teams	Time-consuming
Servant Leadership	Serve the team first; earn authority via respect	Knowledge / ethical orgs	Seen as "too soft"
Laissez-Faire	Hands-off; full autonomy to experts	Self-motivated PhD / R&D teams	No cohesion for new teams

⭐ KEY POINTS — Quick Revision Checklist ⭐

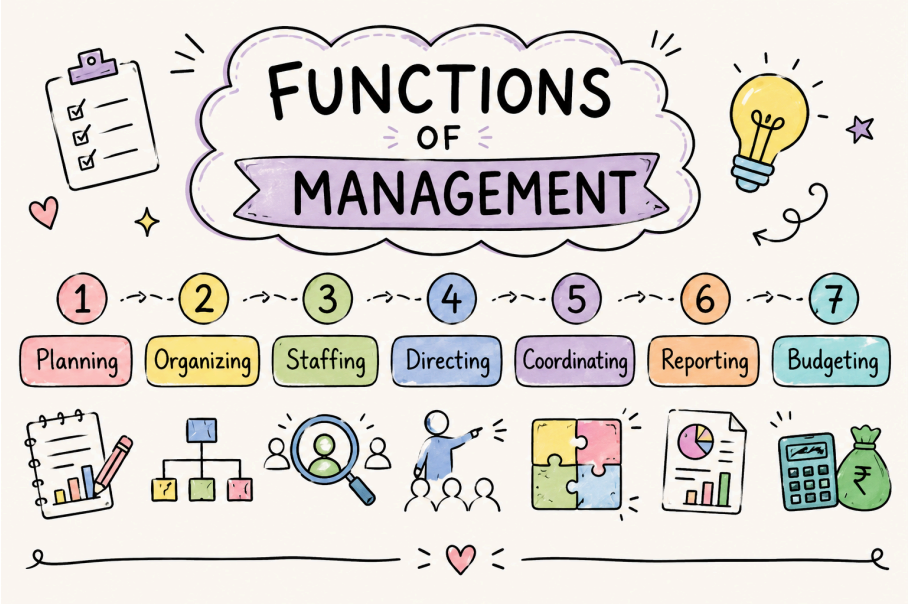
- **"Management" = Greek "nomos." Mary Parker Follett = "art of getting things done *through people.*"**
- **F.W. Taylor = efficiency + cheapest way. Fayol = 5 functions (plan, organise, command, coordinate, control). Drucker = manages business + managers + workers.**
- **Kautilya's Arthashastra (300 BCE) = India's ancient management manual — public administration, organisational design, resource allocation.**
- **The 1st Industrial Revolution (1760–1840) was the true catalyst for formal management theory.**
- **7 Features of Management: Goal-Oriented | Universal | Multi-Dimensional | Continuous | Group Activity | Dynamic | Intangible Force.**
- **Nature of Management: Art (personalised + creative + practiced) + Science (systematic + cause-effect) + Profession (evolving — AIMA, but no restricted entry).**
- **Management is a social/inexact science — NOT an exact science like Physics. Principles = guidelines, NOT laws.**
- **10 Management Styles: Autocratic → Persuasive → Paternalistic → Democratic → Consultative → Transformational → Visionary → Coaching → Servant Leadership → Laissez-Faire.**
- **Autocratic = fastest decisions. Democratic = best for creativity. Laissez-Faire = best for expert teams. Servant Leadership = best for ethical/knowledge orgs.**
- **Transformational style uses 4 I's: Idealized Influence, Inspirational Motivation, Intellectual Stimulation, Individualized Consideration.**

LESSON 8: FUNCTIONS OF MANAGEMENT

I. Foundational Philosophy & Etymology

🔍 Introduction

Management is not a single act — it is a chain of interlinked functions that together convert a plan into results. Every organisation — from a multinational to a government department — relies on seven core functions to operate: *Planning, Organizing, Staffing, Directing, Coordinating, Reporting, and Budgeting.*



These functions are not sequential boxes to tick — they are a continuous, overlapping cycle. Planning sets the course; Organizing arranges the resources; Staffing fills the positions; Directing activates the people; Coordinating harmonises the effort; Reporting tracks the reality; and Budgeting allocates the financial fuel. Together, they form the engine of every well-run enterprise.

I. PLANNING 🎯

1. Meaning, Definition and Features

Planning is the fundamental, all-pervasive blueprint of management. It bridges the gap between where an organization stands today and where it aims to be in the future. It is entirely a **mental, intellectual task** requiring reflective thinking, imagination, and structural farsightedness.

The Conceptual Baseline: Planning involves deciding in advance **what** is to be done, **where**, **how**, and **by whom** it is to be done. *Mere forecasting (predicting the future) is not planning*. Planning only occurs when forecasting is followed by making structural provisions to tackle that forecasted future.

The Academic Definition

George R. Terry: *"Planning is the selecting and relating of facts and the making and using of assumptions regarding the future in the visualization and formulation of proposed activities believed necessary to achieve desired results."*

2. The Four Axial Features of Planning

1. **Intellectual Process:** Planning is not guesswork or a shot in the dark. It is a conscious determination of a future course of action based strictly on goals, audited facts, and considered forecasts. It demands a mental pre-disposition to think deeply before unleashing capital or labor.
2. **Primary Function:** It is the foundational prerequisite of management. Every other function—organizing, staffing, directing, and controlling—is executed within the structural framework established by planning.
3. **Continuous Function:** Because corporate internal and external environments are dynamic and constantly shifting, plans can never be static. Master plans give birth to a series of sub-plans (derivative plans), which must be continuously audited, updated, and re-engineered.
4. **Pervasive Function:** Planning is not the exclusive domain of top-tier executives. It is executed by every manager across all echelons. However, the **planning horizon broadens** and the financial/operational implications become significantly wider as an individual moves up the management hierarchy.

3. Importance of Planning

1. **Makes Personnel Conscious of Objectives:** It enforces a deliberate statement of objectives for each department. This allows the workforce to see how their individual daily activities explicitly add value to the macro goals of the enterprise
2. **Leads to Economy in Operations:** By analyzing facts in advance, planning allows management to select the most cost-effective methods, minimizing unexpected negative consequences. For routine matters, planning creates standing operating steps, eliminating the need to solve the same problems repeatedly.
3. **Planning Precedes Control:** Control cannot exist without planning. Control checks performance against pre-determined standards set during the

planning process.

4. **Provides for Future:** Planning makes management look ahead, discover alternatives, and prepare for unexpected events — even if it cannot anticipate everything.
5. **Influences Efficacy of Other Functions:** As the primary function, planning improves the efficiency of organizing, staffing, directing, and controlling

4. Types of Plans

Type of Plan	Key Characteristics	Duration / Use
Strategic Plans	Detailed action steps for strategic goals; address resource allocation and response to changed conditions	5 years and above
Standing Plans	Used repeatedly whenever a specific situation arises; also called multiple-use or repeated-use plans. Includes objectives, strategies, policies, procedures, rules, methods.	Ongoing / Modified when needed
Single-use Plans	Made for one specific objective; cease after that objective is achieved. Non-recurring.	Short-lived; project-specific

4. Process of Planning — 7 Steps

Step I: Perception of Opportunities

- **The Core Mechanics:** Although this precedes the technical planning layout, it is the true operational trigger point. It requires a realistic, objective diagnosis of the current environment. It is a preliminary look at future opportunities, strengths, weaknesses, and what is expected — the real starting point.
- **Audit Parameters:** Evaluating the external market, studying competitor steps, defining what the consumer wants, and calculating internal strengths versus external threats (SWOT)

Step II: Setting Objectives

The Core Mechanics: Defining the target end-states toward which all corporate energy will be directed. Top management first defines major organizational goals, which are then systematically broken down into individual, functional, and departmental sub-objectives. (Define major objectives first; then break them into departmental and individual objectives. These guide all decisions.)

Case Study: *Pinnacle Ltd.* opens a new laptop branch. The macro objective is specified: sell 3,000 units this year (doubling past performance). To prevent management friction, this goal is split into sub-targets across the Production, Marketing, Sales, and Finance departments

Step III: Considering the Planning Premises

- **The Core Mechanics:** Premises are fundamental planning assumptions—they represent the expected environment in which a plan will operate. Planners analyze factual forecast data to see what internal and external factors will help or hinder the goal. Predict which internal and external factors will help or hinder attainment of objectives. Planning premises = expected environment.
- **Scope:** Includes demographic population shifts, pricing volatility, cost trends, and market metrics. Because the future is complex, it is highly impractical to premise every tiny detail; planners focus exclusively on critical factors.

Step IV: Developing Action Plans

- **The Core Mechanics:** Converting abstract objectives into specific steps. Goals are wishful thinking until specific action steps are drawn. Action plans consist of the steps necessary to achieve each objective.

Step V: Developing Budgets

- **The Core Mechanics:** Allocating capital. Action plans require monetary resources to step off the page. This stage translates plans into physical, quantified cost structures (e.g., promotional budgets geared toward specific demographics). Action plans require money. Budget the resources needed to implement each plan.

Step VI: Implementing the Plans

- **The Core Mechanics:** Putting plans to use. Planners frequently fail because they construct elaborate plans but abandon them to conduct business as usual.
- **The CEO Failure Metric:** The module highlights a critical study: *70% of CEO failures are caused by poor execution, not poor planning*. Poor execution includes corporate indecisiveness, failing to deliver on commitments, and an inability to get things done.

Step VII: Controlling the Plans

- **The Core Mechanics:** Auditing execution progress. Real-world operations rarely match plans perfectly. Controlling systematically measures progress against initial goals and highlights negative or positive performance deviations, triggering instant corrective action.

4. Elements of Planning

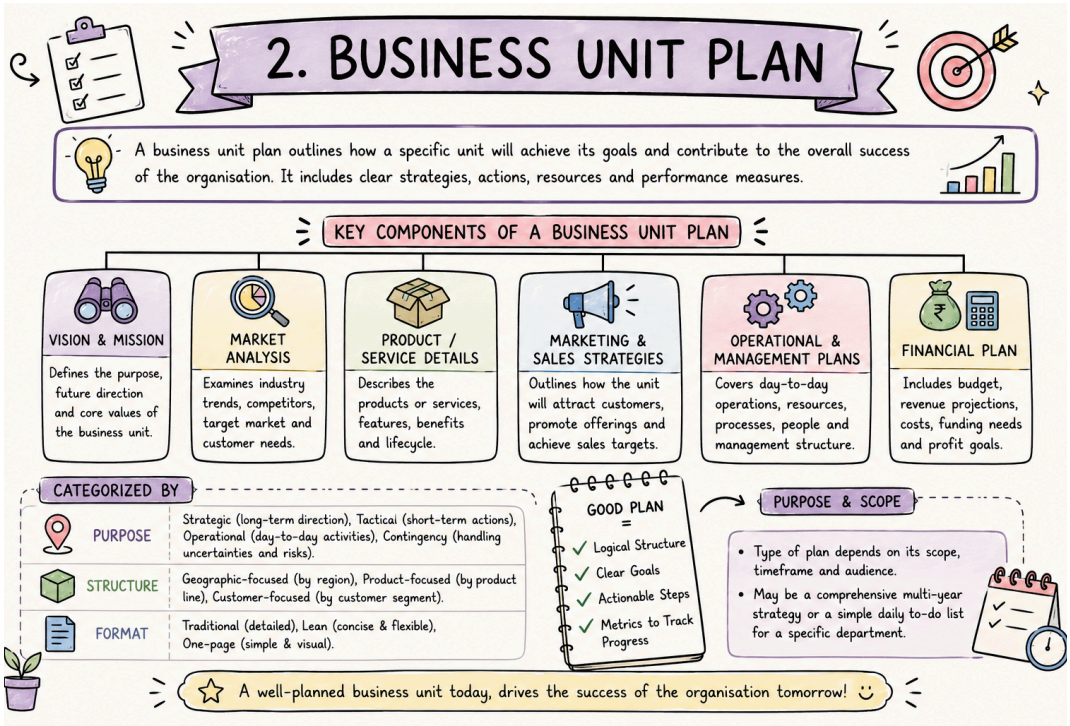
Element	Meaning & Key Point
1. Mission	The organisation's fundamental reason for existence. Serves as benchmark for managers; defines common purpose. It outlines the target consumers, baseline products, geographic market, core technology, values, and public responsibilities.
2. Objectives	End points towards which all activities are directed. They must be clearly defined and systematically communicated vertically and horizontally. Can be short/long-term, tangible/intangible, general/specific.
3. Strategies	Long-term objectives coupled with the systematic adoption of courses of action and allocation of resources necessary to achieve them. Historically a military term, managers use it to build defensive and offensive market plans
4. Policies	Guides to thinking in decision-making.A policy is a general statement that sets the boundary limits within which operational decisions must be made, ensuring consistent performance. (Example: A corporate policy to reinvest 50% of annual earnings back into operations)
5. Procedures	They outline the exact chronological, step-by-step sequence for handling future tasks. (Contrast: While a policy defines the direction, a procedure sets the exact tracking timeline). Policy = guide to thinking; Procedures = guide to actions.
6. Rules	Rigid regulations that permit zero personal discretion or flexibility in application. They are strict positive or negative commands. (Example: Mandatory leave rules).
7. Programmes	An outline of plans in proper sequence to achieve specific objectives. Supported by budgets.
8. Budget	Single-use plan expressing expected results in numerical terms. Budget-*making* is a planning function; budget-*administration* is a control function.

4. Operational Hierarchy of Planning

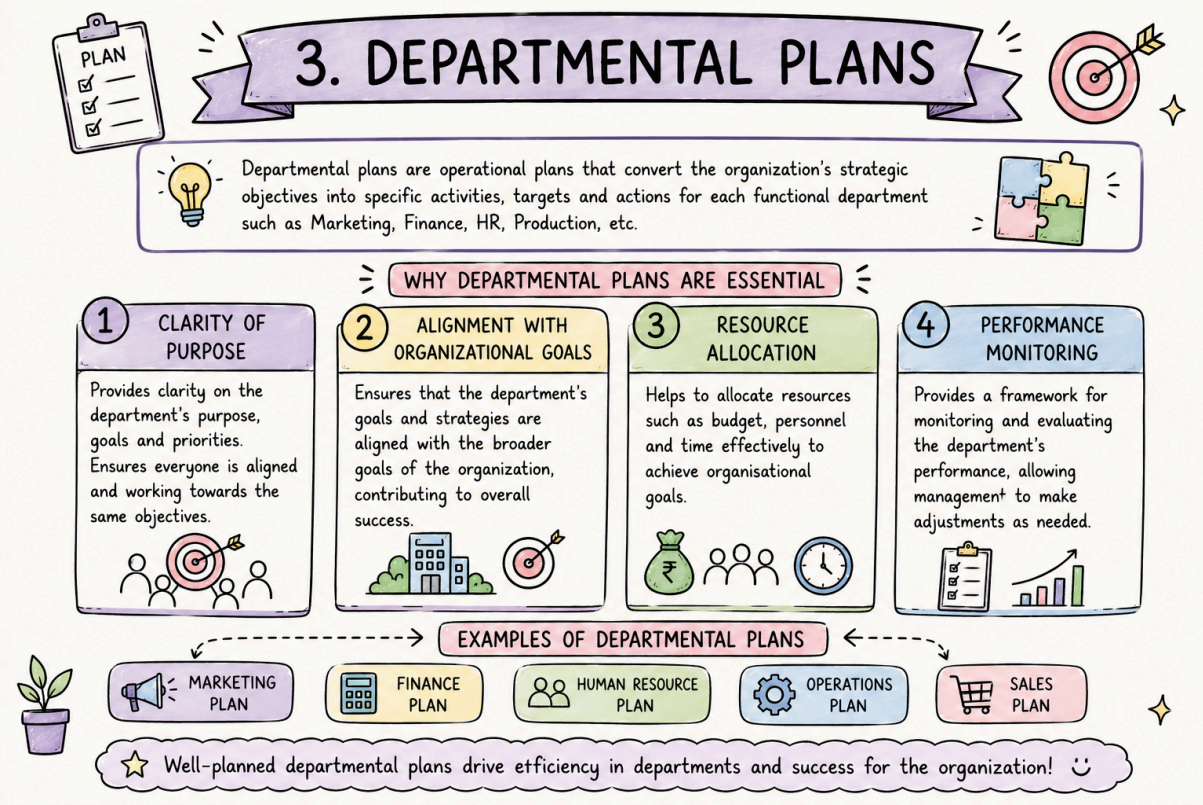
1. Corporate Planning

Encompasses the entire organisation; it involves strategy definition, decision-making, resource allocation. **It is Continuous and dynamic.**

2. Business Unit Planning



3. Departmental Planning



IN SIMPLE WORDS— Planning

Think of planning like a GPS navigation system for a long road trip. Before you start, you enter your destination (Objective), choose a route (Strategy), check for roadblocks (Planning Premises), fuel up (Budget), and keep checking the map as you drive (Control).

- **Mission = Where you ultimately want to arrive.**
- **Objectives = Milestones along the route.**
- **Policies = Traffic rules you must follow.**
- **Procedures = The exact turn-by-turn directions.**
- **Budget = The fuel in the tank.**
- **Control = The GPS rerouting when you miss a turn.**

MCQ KEY POINTS

- George R. Terry's definition: selecting and relating facts + making assumptions regarding the future = planning.
- Planning is PERVASIVE (all levels) and CONTINUOUS (never stops). It is an INTELLECTUAL process — not guesswork.
- Standing Plans are also called: multiple-use plans or repeated-use plans.
- "Forecasting alone is NOT planning" — Planning requires providing for the future, not merely predicting it.

2. ORGANIZING 📂

1. **Meaning, Definitions & Significance of Organizing**

Organization structure is the pattern of relationships among component parts. It is the division of work among people and coordination of their activities toward common objectives.

Important Definitions:

Henri Fayol: "Providing the business with everything useful to its functioning — raw materials, tools, capital, and personnel."

Peter Drucker: "Defining and grouping activities, establishing authority relationships, and creating a structure for effective work toward common objectives."

Louis A. Allen: "Identifying and grouping work, defining and delegating responsibility and authority, and establishing relationships for effective cooperation."

2. The 8-Point Significance Matrix of Organizing

Significance	What It Achieves
Specialization	Division of work into units and departments brings specialization in activities.
Well Defined Jobs	Right person in right job — clarifies each person's role and responsibilities. Avoids confusion
Clarifies Authority	Defines authority at each managerial level, preventing misuse and increasing productivity.
Coordination	"Authority without responsibility = ineffective behaviour. Responsibility without authority = ineffective person."
Effective Administration	Specialization through division of work leads to efficient and effective administration.
Optimum Use of Resources	Avoids overlapping, duplication of work, confusion, and wastage of resources.
Adaptation to Change	Allows structure modification and revision of inter-relationships for smooth transitions.
Development of Personnel	Delegation reduces workload, encourages innovation, and helps subordinates realise their full potential.

3. The 5 Steps in the Process of Organizing

1. **Determination of Objectives:** Identify the objectives before starting any activity — they act as strategy for management and workers.
2. **Identification & Grouping of Activities:** The massive macro-workload of the enterprise is systematically separated into core functions (e.g., Production, Purchasing, Marketing, Finance), which are then sub-divided into micro-jobs. This eliminates duplication of effort.
3. **Allotment of Duties:** Individual jobs are allocated to specific employees based on their proven technical ability. Subordinates are handed explicit responsibility alongside sufficient authority to complete the task.
4. **Developing Relationships:** Management builds the explicit structural hierarchy, dictating exactly **who reports to whom**. This clears the path for seamless, structured delegation.
5. **Integration of Activities:** Aligning separate parts into a cohesive whole. Done via authority links (vertical, horizontal, lateral) and structured communication channels to foster teamwork and unified goals

4. Authority, Responsibility & Centralization vs. Decentralization

I. Authority: The Right to Command

Authority is a downward-flowing concept. It is the formal, official right of a manager to command subordinates, issue directions, make binding choices, and exact obedience. It acts as the ultimate structural binder within a hierarchy. Mooney describes it as the *"supreme coordinating power"*.

Fayol: "the right to give orders and exact obedience."

6 Characteristics of Authority:

- **Legitimacy:** Authority must be legitimate (vested by position) to be obeyed.
- **Dominance:** Authority determines superior-subordinate relationships; decreases as one moves down the hierarchy.
- **Accountability:** The holder of authority is liable to a superior for fulfilling obligations — the most significant characteristic.
- **Flows Downward:** Higher positions enjoy greater authority. Authority establishes superiority.
- **Delegation:** Authority can be delegated; but responsibility of performance remains with the delegator.
- **Parity:** Authority must be equal to Responsibility (one of Fayol's 14 Principles). Imbalance = autocracy or frustration.

II. Responsibility: The Obligation to Execute

The formal, official right of a manager to command subordinates, issue directions, make binding choices, and exact obedience. It acts as the ultimate structural binder within a hierarchy. Mooney describes it as the *"supreme coordinating power"*.

It is the obligation of a subordinate to perform an assigned duty. Authority flows downward; responsibility is exacted upward. Responsibility CANNOT be delegated

Features of Responsibility:

1. Responsibility is to assign duty to human beings only.
2. Responsibility is the obligation of a subordinate to properly perform the assigned duty.
3. It arises from superior subordinate relationship
4. Responsibility flows upward. A subordinate is always responsible to his superior.
5. Responsibility cannot be delegated.
6. The person accepting responsibility is accountable for the performance of assigned duties.
7. It is hard to fulfil responsibility without authority.

III. Power: The Capacity to Execute

While authority is the *right* to make a choice, power is the actual *ability* to execute it.

The balance between authority, responsibility, and power is fundamental to effective leadership and organizational success. These three elements form the backbone of any structured institution, yet their interplay can lead to efficiency or dysfunction depending on how they are managed. Authority is the right to make decisions, power is the ability to execute those decisions, and responsibility is the accountability for the outcomes of those decisions and their implementation. An imbalance among these elements, particularly in an administrative office, often results in abuse, inefficiency, and a breakdown of trust within the organization.

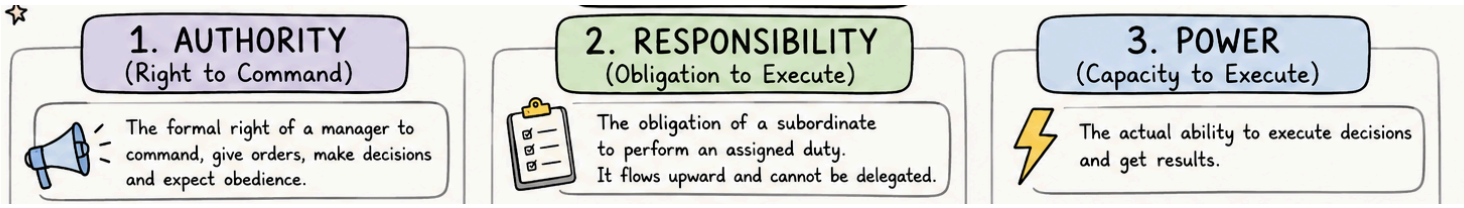
When authority, responsibility, and power are out of alignment, it creates fertile ground for abuse, inefficiency, and dissatisfaction.

i) Authority without Power: When an individual has the authority to make decisions but lacks the power to execute them, frustration and inefficiency result.

ii) Power without Responsibility: This scenario leads to unaccountability and potential abuse.

iii) Responsibility without Authority or Power: Assigning responsibility without granting corresponding authority and power sets individuals up for failure.

Hence it is important to understand the **concept of delegation of authority.**



5. **Delegation:**

Delegation is the process of assigning authority, power, and responsibility to subordinates. It is a critical tool for maintaining balance and ensuring organizational efficiency.

In an administrative office, delegation enables leaders to focus on strategic objectives while empowering team members to manage operational tasks.

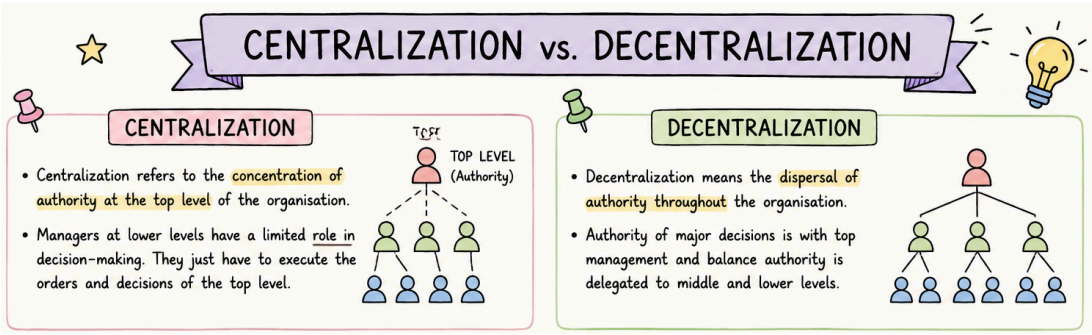
How Delegation Balances Authority, Responsibility, and Power

- **Delegation of Authority:** Carefully transferring routine decision-making power to lower-level managers to free up executive time for strategy.
- **Delegation of Power:** Backing that authority with access to materials, capital, channels, and support.
- **Transfer of Responsibility***:* Task-specific accountability is transferred to the subordinate, but **ultimate accountability remains tied to the delegator**.

Core Friction Points in Delegation:

- **Trust Deficits:** Executive hesitation to delegate due to a fear that the team lacks competence or dedication.
- **Worker Overloading:** Overburdening subordinates beyond their psychological or physical capacity, triggering burnout.
- **Role Ambiguity:** Vague, poorly defined boundaries of authority and power that spark internal corporate turf wars.

6. Centralization vs. Decentralization (Deep Structural Analysis)



Basis	Centralization	Decentralization
Meaning	Concentration of authority at top level	Systematic distribution of authority at all levels
Delegation	No delegation; all decisions at top	Systematic delegation to all levels
Suitability	Small organisations	Large organisations
Decision Freedom	No freedom at middle/levels	Freedom at all management levels
Info Flow	Vertical (top-down)	Open and free flow
Employee Motivation	(limited autonomy stifles creativity)	Higher (greater independence motivates)
Burden	One group carries all burden	Shared across all levels

📌 **Deep-Dive: Merits & Demerits of Centralization**

✅ **Merits:**

1. **Clear Chain of Command:** Streamlined, unambiguous hierarchy ensures everyone knows who to approach, allowing fast, unified implementation of decisions during crises.
2. **Focused Vision:** Direct, unaltered delivery of the organization's strategic vision from the top down.
3. **Reduced Costs:** Standardized methods minimize administrative expenses; the firm avoids paying for localized specialists since the head office makes all major choices.
4. **Quality Control:** Supervised, highly standardized procedures ensure uniform output.

❌**Demerits:**

1. **Bureaucratic Paralysis:** Lower-tier workers are treated as unthinking cutes; this lack of involvement stifles creativity and kills performance.
2. **Remote Control Disconnect:** Top executives make choices without understanding the daily realities or hurdles of implementation.
3. **Delays:** Projects bottleneck as workers waste productive hours waiting for approvals to flow down from the top.

📌 **Deep-Dive: Merits & Demerits of Decentralization**

✅ **Merits:**

1. **Rapid Operational Decisions:** Decisions are made directly at the point of impact by managers closest to the situation.
2. **Executive Development:** Forces mid-level managers to rely on their own judgment, building real-world problem-solving skills and creating a strong talent pool for promotions.
3. **Strategic Relief for the Top:** Frees up executive minds from routine firefighting, allowing them to focus exclusively on long-term policy.
4. **Drives Internal Competition:** Functional departments operate with high independence, sparking healthy competition that raises overall productivity.

- **Demerits:**
  1. **Sub-Optimization / Misaligned Objectives:** Local units may prioritize their own departmental targets over the macro vision of the parent corporation.
  2. **Loss of Uniformity:** Inconsistent procedures across different branches can cause brand confusion.
  3. **Heavy Cost Outflows:** Duplication of equipment, personnel, and support systems across multiple levels bloats the budget.

IN SIMPLE WORDS — Organizing

Think of organizing like **building a cricket team before a match.** You have 11 players (resources). The coach (manager) assigns each player a clear position (division of work), defines their responsibilities (authority and accountability), and tells them who talks to whom (relationships). A wicketkeeper who doubles as opening bat with no clear brief causes confusion. But when everyone knows their role and respects the chain of command — the team performs as a unit.

- **Authority flows DOWN, Responsibility flows UP**
- **You can delegate Authority but NOT Responsibility.**
- **Authority without Responsibility = Abuse. Responsibility without Authority = Frustration.**

MCQ KEY POINTS

- Fayol: Organizing = "providing the business with everything useful to its functioning — raw materials, tools, capital, and personnel."
- Authority flows DOWNWARD. Responsibility flows UPWARD. Responsibility CANNOT be delegated.
- Parity Principle: Authority must equal Responsibility (Fayol's 14 Principles).
- Centralization = suitable for small organizations. Decentralization = suitable for large organisations.
- Mooney described authority as "the supreme coordinating power."
- Steps in Organizing: Objectives → Identify & Group Activities → Allot Duties → Develop Relationships → Integrate Activities.

3. STAFFING 👥

1. **Meaning, Definitions & Significance of Staffing**

Staffing is the process of hiring, training, and maintaining a workforce that reflects the organisation's objectives. It aims at filling each position with the best possible person and bridges the gap between the organisation's needs and the available talent pool.

Important Definitions:

Koontz and O'Donnell: The managerial function of staffing involves managing the organisation structure through proper and effective selection, appraisal and development of personnel to fill the roles designed into the structure.

S. Benjamin: The process involved in identifying, assessing, placing, evaluating and directing individuals at work.

Theo Hainmann: Staffing function is concerned with the placement, growth and development of all those members of the organisation whose function is to get things done through the efforts of other individuals.

Koontz and Weihrich- Staffing can be defined as filling and keeping filled positions in the organisation structure.

2. **Characteristics of Staffing:**

Characteristic	Meaning
People-Oriented	Staffing centers entirely on the efficient utilization and psychological alignment of human resources within the organization. It aims to stimulate each worker to deliver their maximum contribution
Development-Oriented	It does not simply stop at hiring; it actively builds the potentialities, personalities, operational interests, and skill matrices of the workforce to deliver career advancement and job satisfaction.
Pervasive Function	Required in every organisation at all levels for all types of employees.
Continuous Function	A never-ending process requiring constant alertness and awareness of human relations.
Human Objectives	It focuses on engineering an open, supportive corporate atmosphere where workers willingly cooperate to hit the macro targets of the firm because their individual psychological needs are respected

Individual & Group-Oriented	It treats employees both as distinct individuals with unique needs and as interconnected functional groups, successfully integrating personal career milestones with collective team efforts
Cordial Work Environment	Staffing is responsible for engineering comfortable, optimized physical and psychological work environments that bring out the best in the human capital base.

3. Manpower Planning (Human Resource Planning)

Manpower Planning which is also called as **Human Resource Planning consists of putting right number of people, right kind of people at the right place, right time, doing the right things** for which they are suited for the achievement of goals of the organization.

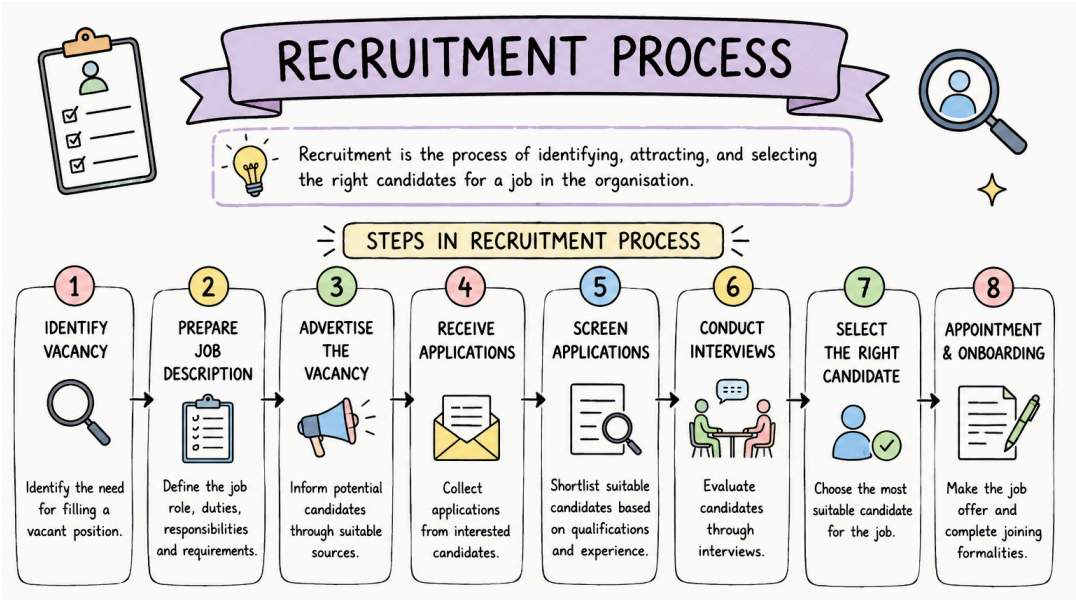
Human Resource Planning has to be a systems approach and is carried out in a set procedure. The procedure is as follows:

1. **Analyzing** the current manpower inventory
2. **Making** future manpower **forecasts**
3. **Developing** employment **programmes**
4. **Design** training **programmes**

4. Recruitment and Selection

I. Recruitment (The Positive Process)

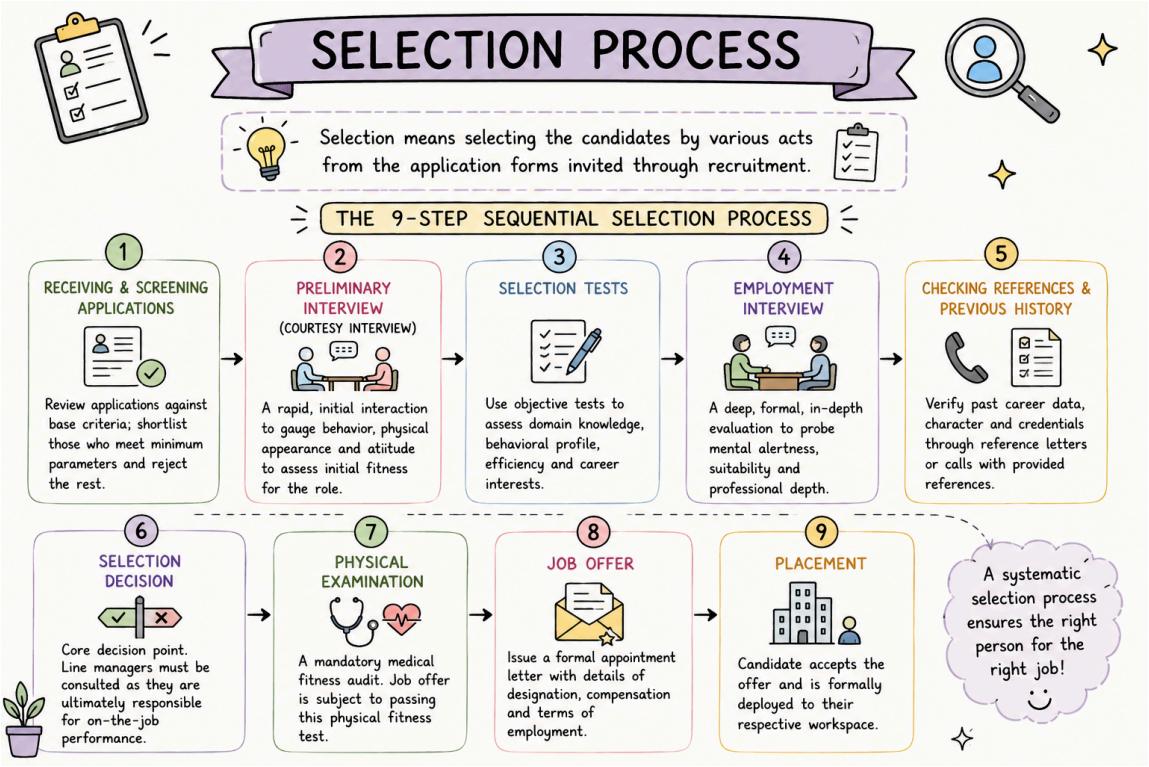
Recruitment is the broad corporate process of identifying, attracting, interviewing, selecting, hiring, and onboarding individuals. It spans from discovering a vacancy to filling it. It is termed a "positive" process because its primary target is to expand the applicant funnel by encouraging more people to apply.



II. Selection (The Negative Process)

Academic Definition (Dale Yoder): ***"Selection is the process in which candidates by employment are divided into two classes—those who are to be offered employment and those who are not."***

The Nature: It is a screening mechanism. It is termed a **"negative" process** because it systematically eliminates unqualified applicants, rejecting the unfit to select the elite few.



5. **Training vs. Development**

i) Training: Training refers to an education process in which employees get a chance to develop skills, competency and learning as per the post-duty requirements. Training is performed to improve the knowledge and skills that are needed to perform their existing jobs. That's why it is short-time/term focused and for a fixed duration.

ii) Development: Development refers to an informative process that mainly helps in understanding the overall growth and improvement of the skills of the employee. So simply we can say it is a process of learning and growth. Developments are performed to improve knowledge and skills to face future challenges.

Dimension	Training	Development
Focus	Job-oriented (present role)	Career-oriented (future growth)
Duration	Short-term / fixed duration	Long-term / lifelong
Initiated by	Management (external motivation)	Self (internal motivation)
Scope	Narrow — technical skills	Wide — conceptual & human skills
Purpose	Improve skills for existing job	Prepare for future challenges

6. Performance Appraisal, Compensation, & Benefits

The term "performance appraisal" refers to the regular review of an employee's job performance and overall contribution to a company. Also known as an annual review, employee appraisal, performance review, or evaluation, a performance appraisal evaluates an employee's skills, achievements, and growth, or lack thereof.

They can be conducted at any given time but tend to be annual, semi-annual, or quarterly.

Compensation and Benefits

Compensation and benefits refers to the monetary and non-monetary rewards an employee receives from their employer in exchange for their work. Together, they make up a total compensation package, which may include salary, bonuses, insurance, retirement contributions, and various other perks aimed at attracting, motivating, and retaining employees.Compensation is the money an employee receives in exchange for their labour, which could be a salary, wages, commission, and bonuses.

Total Compensation Package Elements:

Compensation (Monetary / Financial): Compensation is a financial form of remuneration. Fully taxable financial remuneration given in exchange for labor, including direct salary, wages, commissions, and bonuses. Used to attract top talent.

Benefits (Non-Monetary / Non-Financial Perks)*:* Benefits are non-financial. Indirect reward systems that carry distinct financial value but don't involve direct cash payments to the employee. Includes health insurance, stock options, gym memberships, flex-hours, and retirement plans. Certain benefits may be tax-exempt

IN SIMPLE WORDS — Staffing

Think of staffing like casting a film. A great script (plan) and a grand set (organisation) produce nothing without the right actors in the right roles. The director (HR manager) must recruit talent, audition (selection process), train the cast (training & development), evaluate performance (appraisal), and pay them fairly (compensation). A poorly cast film — no matter how good the script — fails at the box office.

MCQ KEY POINTS

- Koontz & O'Donnell on Staffing: "managing structure through proper selection, appraisal, and development of personnel."
- Manpower Planning = right number + right skills + right place + right time.
- Preliminary Interview is also called "Courtesy Interview."
- Training = short-term, job-oriented, management-initiated, technical skills. Development = long-term, career-oriented, self-motivated, wider scope.
- Performance Appraisal = also called annual review / performance review / employee appraisal.
- Compensation = financial (salary, wages, bonuses — taxable). Benefits = non-financial (insurance, flexible hours — may be tax-exempt).

⚠ **MCQ Trap:** "Responsibility CANNOT be fully delegated" — even in staffing, the manager remains accountable for the outcome.

4. DIRECTING 🧭

1. **Meaning, Features & Principles of Directing**

Directing is the process of instructing, guiding, counselling, motivating, and leading people in an organisation to achieve organisational goals. It converts plans into action. Directing not only includes order and instructions by a superior to the subordinates but also includes guiding and inspiring them

Ernest Dale: *"Direction is telling people what to do and seeing that they do it to the best of their ability."*

2. **Features**

Feature	What It Means
Initiates Action	While planning, organizing, and staffing set up the necessary organizational conditions, nothing moves until the directing function initiates active operations. Directing converts plans into action — it is the key managerial function that starts the engine.
Pervasive	Takes place at every level of management wherever superior-subordinate relations exist.
Continuous Process	It is an ongoing activity that must run uninterrupted throughout the entire life of the firm, regardless of changes in personnel
Top to Bottom	Direction flows strictly from top to bottom. Every manager directs their immediate subordinates based on instructions received from their own superiors.

Directing deals with people: It is concerned with the direction of human efforts towards organisational goals. It can be said that directing is a delicate function, as it deals with people, and human behaviour is complex and highly unpredictable.

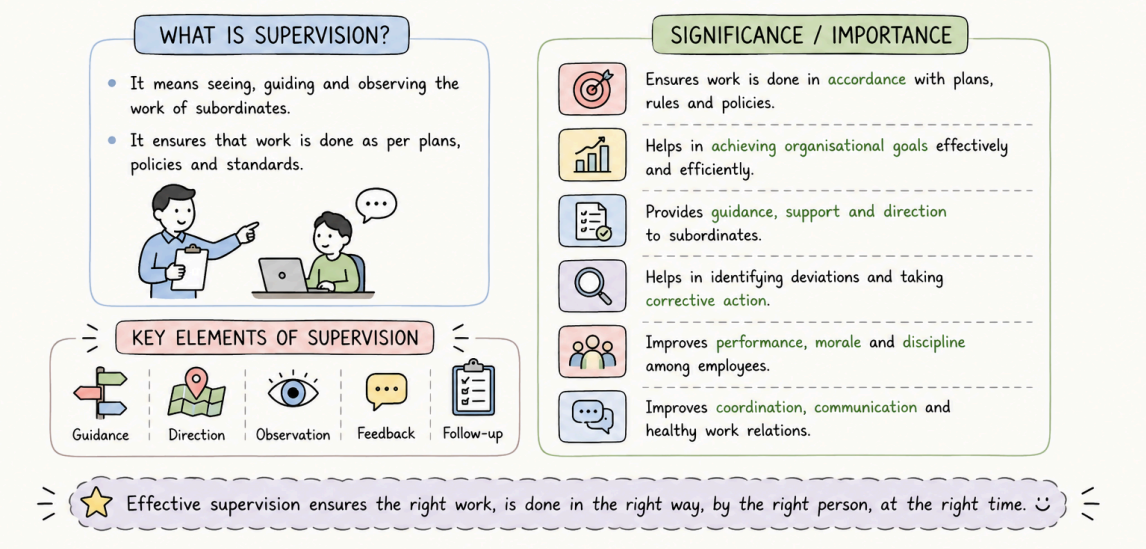
3. **Principles Guiding Directing Process**

Principle	Core Message — 9 Principles of Directing
Maximum Individual Contribution	The direction methodology must unlock the hidden talents and self-confidence of workers, using rewards and incentives to motivate them to contribute their maximum capabilities
Harmony of Objectives	Reconciling personal worker goals with macro organizational targets. Workers execute tasks best when they see that hitting company milestones directly satisfies their personal financial and psychological needs.
Unity of Command	Each subordinate reports to ONE superior only. Dual command causes immediate role conflict, chaos, and indiscipline.
Appropriateness of Direction Techniques	The directive styles and methods chosen must perfectly match the specific maturity of the subordinates, the culture of the firm, and the exact situational context.
Managerial Communication	Implementing an open, multi-directional flow of information. Upward communication feedback loops are vital to let subordinates express their feelings, ensuring mutual trust.
Strategic Use of Informal Organisation	Savvy managers map out and utilize informal social groups within the company to reinforce formal vertical directions, supercharging execution speed
Effective Leadership	Managers must act as true leaders, guiding and counseling workers through both professional and personal hurdles to win their authentic trust and cooperation
Direct Supervision	Direction is most effective when direct personal contact is maintained. Face-to-face interaction boosts employee morale and operational commitment.
Follow Through	Issuing a directive directive is not enough. A manager must continuously monitor performance to resolve immediate bottlenecks and ensure the instructions are being accurately carried out.

4. Supervision, Motivation & Leadership

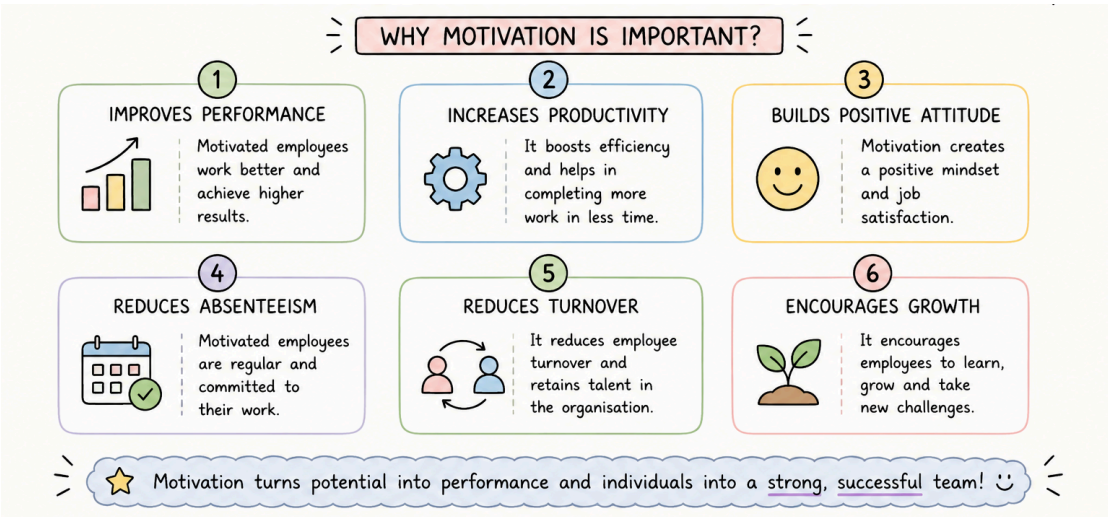
Supervision (Over + Vision): The term 'Supervision' is made up of two words, Super and Vision. Super means over and above and Vision means seeing.

Therefore, supervision means overseeing the work of subordinates to ensure that they are working according to the plans and policies of the organisation. It is instructing, guiding, and observing the subordinates at work to ensure that they are working as per the plans. Supervision aims to ensure that subordinates work efficiently and effectively to accomplish the organisational objectives.



Motivation (Origin: Latin *'Movere'* - To Move / To Drive): The word Motivation derives from the Latin word "Movere". The Latin word "Movere" means "To move", "To drive" or "To drive forward" etc. Motivation can be defined as stimulating, inspiring and inducing the employees to perform to their best capacity. Motivation is a psychological term which means it cannot be forced on employees. It comes automatically from inside the employees as it is the willingness to do the work.

"Motivation means a process of stimulating people to action to accomplish desired goal" - William G. Scout



Leadership (Influence): Leadership is the capacity or ability to guide, inspire, and influence individuals or groups toward achieving a common goal. It involves decision-making, communication, and motivation while fostering collaboration and accountability.

According to C.I. Bernard – '*Leadership is the quality of behaviour of the individuals whereby they guide people or their activities in organised efforts'.*

IN SIMPLE WORDS — Directing

Planning is the script. Organizing is the stage. Staffing is the cast. But none of it matters until the director calls "Action!" — and that is Directing.

- **Motivation comes from within — it cannot be forced.**
- **"Motivation" from Latin "Movere" — to move, to drive.**
- **Unity of Command: ONE boss. Dual command = confusion.**
- **Supervision = "Super" + "Vision" — seeing from above.**

REAL WORLD EXAMPLE — Supervision — The Shop Floor Story

A Factory Supervisor at a garment unit: He arrives before the shift, checks machine readiness, briefs workers on the day's production target, trains a new stitcher on the overlock machine, spots a defective batch early and corrects it before it multiplies, mediates a dispute between two workers over overtime, and reports upward to the production manager about a recurring thread breakage issue. In one working day, he performed every significance of supervision — contact, link, discipline, group unity, performance improvement, training, and feedback.

MCQ KEY POINTS

- Ernest Dale: "Direction = telling people what to do and seeing that they do it to the best of their ability."
- Directing is the ONLY function that initiates action — all other functions create conditions for action.
- Unity of Command: ONE superior per subordinate. Violation causes confusion, conflict, and indiscipline.
- "Motivation" = Latin "Movere" = to move. Psychological term — cannot be forced; comes from within.
- William G. Scout: "Motivation = process of stimulating people to action to accomplish desired goals."
- Supervision = Super (over) + Vision (seeing). Significance: 8 points ending with "Provides Feedback."
- C.I. Bernard on Leadership: "quality of behaviour whereby they guide people in organised efforts."

⚠ **MCQ Trap:** "Directing is a one-time act" — **FALSE**. Directing is pervasive, continuous, and flows top-to-bottom always.

5. CO-ORDINATING 🔗

1. **Meaning & Definition of Coordination**

Coordination is the force that connects all managerial functions and ensures smooth and efficient functioning of an organisation. It is considered the SOUL OF MANAGEMENT — helping achieve goals through harmony and discipline of both individuals and groups.

Mooney & Reiley: *"Coordination is an orderly arrangement of group efforts to provide unity of action in the pursuit of common goals."*

The 3 core elements *of* Coordination are - Balancing, Timing and Integration

Element	What It Involves	Key Point
Balancing	Synchronizing different efforts and activities	Right amount of resources dedicated to each part
Timing	Sequencing operations in proper order	Avoid delays; one activity's output ready for the next
Integration	Bringing diverse activities into a cohesive whole	Unify separate parts toward the common goal

2. Characteristics & Strategic Importance

a. It is relevant for group efforts and not for individual efforts.
b. It is a continuous and dynamic process. Continuous because it is achieved through the performance of different functions. Also, it is dynamic since functions can change according to the stage of work.
c. Most organizations have some sort of coordination in place. However, the management can always make special efforts to improve it.
d. Coordination emphasizes the unity of efforts.
e. A higher degree of coordination happens when the degree of integration in the performance of various functions increases.
f. It is the responsibility of every manager in the organization. In fact, this is integral to the role of a manager because he synchronizes the efforts of his subordinates with others.

Strategic Importance :

1. **Unity in Diversity***:* Aligns workers from completely different backgrounds, traits, and mindsets onto a single corporate target.
2. **Resolving Conflicting Goals***:* Establishes clear communication channels to resolve internal departmental friction and turf wars.
3. **Managing Scale & Growth:** As an organization expands, maintaining order across sprawling divisions becomes difficult; coordination preserves

communication integrity.

4. **Specialization Integration:** Allows specialists to focus deeply on their respective domains while ensuring their outputs link seamlessly with other corporate departments.
5. **The Synergy Effect:** Ensures that the total collective output of coordinated group efforts far exceeds the sum of individual uncoordinated actions (1 + 1 > 2).
6. **Combating Empire-Building:** Enforces open cross-departmental transparency, preventing power-hungry managers from hoarding resources to build isolated internal empires.
7. **Congruence of Flows:** Ensures that information, physical resources, and capital flows are timed perfectly, maximizing speed and minimizing operational duplication

3. Process of Communication

The process of coordination involves the following :

i. **Planning**: Planning is the elementary stage of achieving coordination.

ii. **Organisation**: In the process of organisation, the authority and responsibility of various persons are defined and even the relationship among different jobs is also specifically given.

iii. **Directing**: When a manager directs his subordinates he will be coordinating their work.

iv. **Controlling**: The manager is required to control the work of everyone in the organisation so that all efforts are directed towards the main goals.

v. **Staffing**: The staffing function can also help in proper coordination. While staffing, the manager should keep in mind the nature of jobs and the type of persons required for managing them.

vi. **Proper Communication**: Effective communication is of utmost importance for achieving better coordination. There should be a regular flow of information among various persons so that they are given the required information for proper coordination

4. Types of Coordination

Type	Direction / Scope
Internal	**Within the organisation — all departments working toward the same goal**
External	**With outside stakeholders — clients, suppliers, government bodies**
Vertical	**Between different organisational levels — top management to shop floor**
Horizontal	**Between departments at same level — Marketing & Finance collaborating on a launch**
Formal	**Through formal systems, processes, structures — meetings, job descriptions, appraisals**
Informal	**Through networks, relationships, social interaction — casual conversations, electronic platforms**
Functional	**Among specific functional areas — Finance, HR, Marketing**
Cross-functional	**Between different functional areas — product development team across all functions**
Inter-organisational	**Between different organisations — supply chains, joint ventures, alliances**
Global	**Across countries and regions — multinational compliance and strategy alignment**

5. **Factors determining Effective Coordination**

Mary Parker Follett's 4 Principles of Effective Coordination

These four foundational pillars are essential for minimizing corporate friction and maximizing collaboration

1. **Principle of Early Beginning**: Co-ordination must start at the planning stage itself — delays lead to irreversible problems.
2. **Principle of Direct Contact:** Co-ordinating parties should meet personally rather than rely only on orders and instructions.

3. **Principle of Reciprocity:** All elements are influenced by each other — recognize and coordinate the mutual impact.
4. **Principle of Continuity:** Co-ordination is a continuous process. Any stop or slackening causes a derailment for the whole enterprise.

IN SIMPLE WORDS — Coordination

Think of coordination as the Wi-Fi network of an organisation. Every department — production, finance, marketing, HR — is a device with its own tasks. Without coordination (the Wi-Fi signal), each device works in isolation, drops packets of information, and the whole system gets slow and frustrating. Good coordination ensures every device connects seamlessly, data flows freely, and the organisation operates at full speed.

- **Coordination is the SOUL of management.**
- **3 Elements: Balancing + Timing + Integration.**
- **Follett's 4 Principles: Early Beginning | Direct Contact | Reciprocity | Continuity.**

MCQ KEY POINTS

- Coordination = "SOUL of management" (most tested label).
- Mooney & Reiley: "orderly arrangement of group efforts to provide unity of action in pursuit of common goals."
- 3 Core Elements: Balancing (resources across departments) | Timing (sequencing) | Integration (unifying).
- 12 Types — most tested: Internal/External | Vertical/Horizontal | Formal/Informal | Cross-functional.
- Mary Parker Follett's 4 Principles: Early Beginning | Direct Contact | Reciprocity | Continuity.
- Coordination is relevant for GROUP efforts — NOT individual efforts.

⚠ **MCQ Trap:** Coordination is NOT a "separate" function — it is the essence/soul that runs through all functions.

6. REPORTING 📊

1. **Meaning, Importance & Reporting of Deviations**

A management report is a critical tool in business intelligence, enabling leaders at all levels to make informed, data-driven decisions. Reports reflect the financial and operational aspects of a business over a specific period — including data on cash flow, budget, profit, wage-revenue ratio, and employee productivity.

Reports can be:

- **Visual:** ***graphs, charts***
- **Written:** ***tables, ratios***
- **Oral:** ***meetings, discussions***

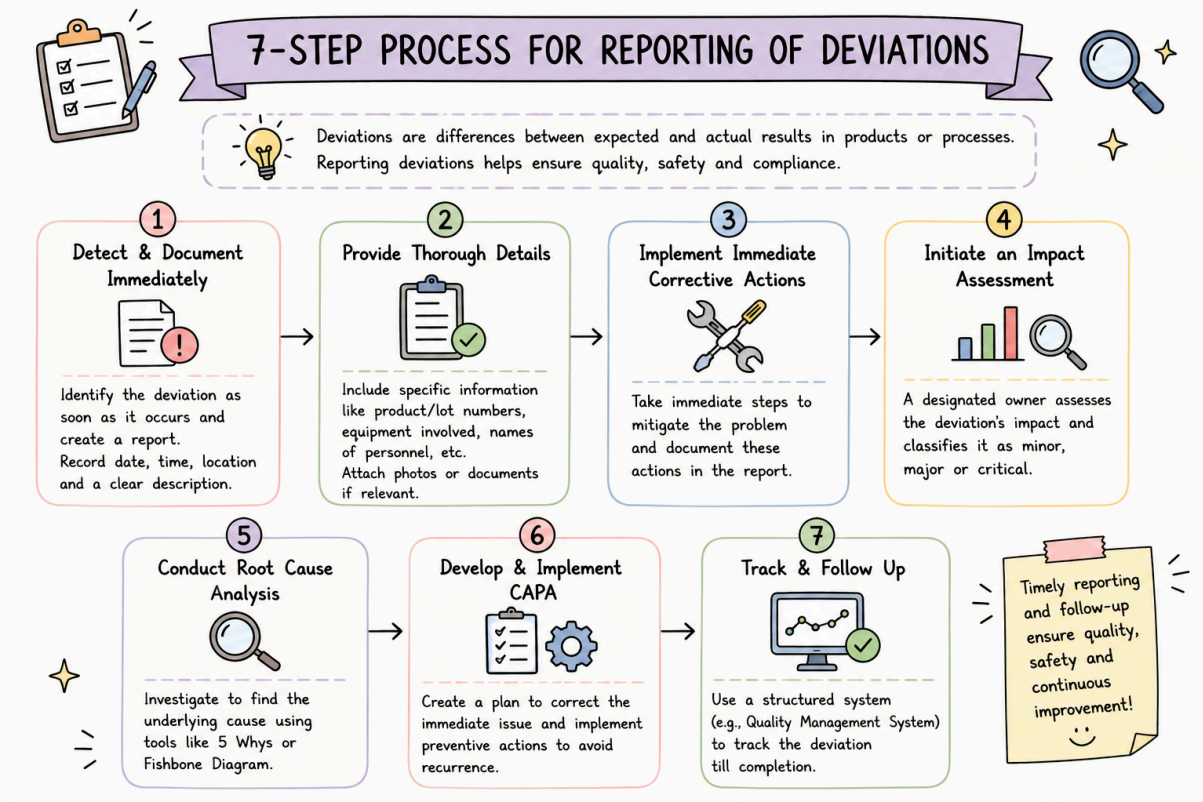
Importance of Management Reports

- It helps managers understand the factors impacting their business. This, in turn, allows them to formulate strategies to improve business performance.
- The information presented in the written and visual reports enables the managers to analyze the business performance quickly.
- It helps managers identify trends. This allows them to make better business decisions.
- The reports help an organization's top decision-makers understand the KPIs and set performance goals.
- Managers can measure the business's overall health with the help of the data provided in the reports.
- The information helps managers prevent unnecessary expenses and losses

2. **Deviation Management:**

The systematic process of tracking, documenting, investigating, and resolving any departures from standard operating procedures (SOPs) or regulatory requirements during execution. Deviations stem from human error, material flaws, or mechanical failures

These deviations can occur at any stage of production and may impact product quality, safety, or regulatory compliance. They might arise from human error, equipment failure, raw material inconsistencies, contaminated raw materials, or unforeseen circumstances in the production environment. Deviations are often recognized as measured differences between expected and observed values in product or process conditions.



MCQ KEY POINTS

- Management reports can be visual (graphs, charts), written (tables, ratios), or oral (meetings).
- Reports include: cash flow, budget, profit, wage-revenue ratio, employee productivity.
- Deviations can be Minor, Major, or Critical.
- CAPA = Corrective and Preventative Actions — the standard industry response framework.
- 7 Steps in Deviation Reporting: Detect → Detail → Correct → Impact Assessment → Root Cause → CAPA → Track.

7. BUDGETING 💰

1. **Meaning, Importance & Objectives of Budgeting**

Budgeting is the process of creating a plan to spend an organisation's resources — money, time, and personnel. It involves estimating revenue and expenses over a specified future period and serves as the financial blueprint of the organisation.

CIMA Definition: *"A financial and/or quantitative statement, prepared prior to a defined period of time, of the policy to be pursued during that period for the purpose of attaining a given objective."*

Essentials of a Budget:

1. **Prepared in advance; based on a future plan of action.**
2. **Relates to a future period; based on objectives to be attained.**
3. **A statement in monetary and/or physical units prepared for the implementation of management policy.**

Objectives of Budgeting

Objective	How Budgeting Achieves It
Allocating Resources	Efficient allocation to departments, projects, and initiatives based on priority and potential impact.
Controlling Costs	Monitor expenses, identify overspending, implement cost-cutting measures.
Profit Maximisation	Accurate projection of revenue and expenses identifies opportunities to increase profitability.
Cash Flow Management	Projects inflows and outflows; ensures sufficient cash to meet obligations.
Performance Evaluation	Provides a benchmark to measure actual financial performance.
Financial Planning	Enables long-term goal-setting, strategy, and progress monitoring.
Risk Management	Identify and mitigate financial risks; build contingency plans.
Communicating Priorities	Outlines financial priorities to all stakeholders — employees, management, investors.

Importance of Budgeting

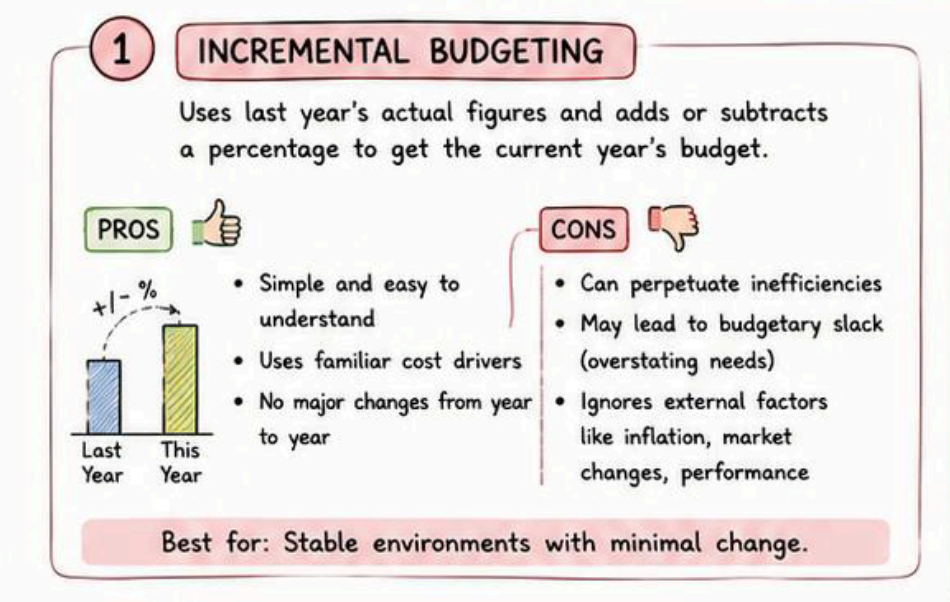
Importance	How Budgeting Achieves It
It ensures resource availability	At its core, budgeting's primary function is to ensure an organization has enough resources to meet its goals.
It can help set and report on internal goals	Budgeting for an upcoming period isn't just about allocating spend; it's also about determining how much revenue is needed to reach company goals.
It helps prioritize projects	When prioritizing, consider the potential return on investment for each project, how each aligns with your company's values, and the extent they could impact broader financial goals.
It can lead to financing opportunities:	When deciding whether to fund a company, investors highly value its current, past, and predicted financial performance. Providing documents for previous periods with budgeted and actual spend can show ability to handle a company's finances, allocate funds, and pivot when appropriate.
It provides a pivotable plan:	budget is a financial roadmap for the upcoming period; if all goes according to plan, it shows how much should be earned and spent on specific items.

2. **Types of Budgeting**

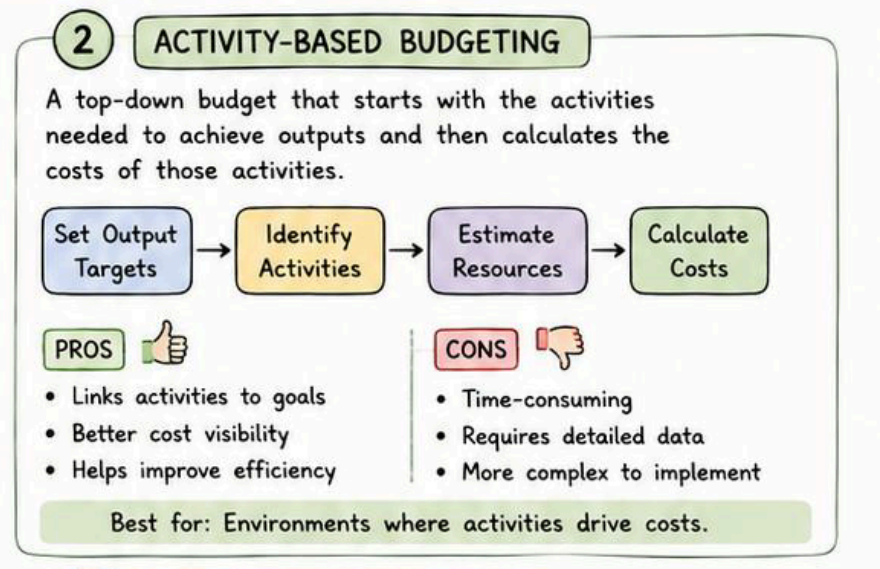
1. **Incremental Budgeting:** Incremental budgeting takes last year's actual figures and adds or subtracts a percentage to obtain the current year's budget. It is the most common type of budget because it is simple and easy to understand. Incremental budgeting is appropriate to use if the primary cost drivers do not change from year to year.

It is simple and easy to understand but carries severe systematic flaws:

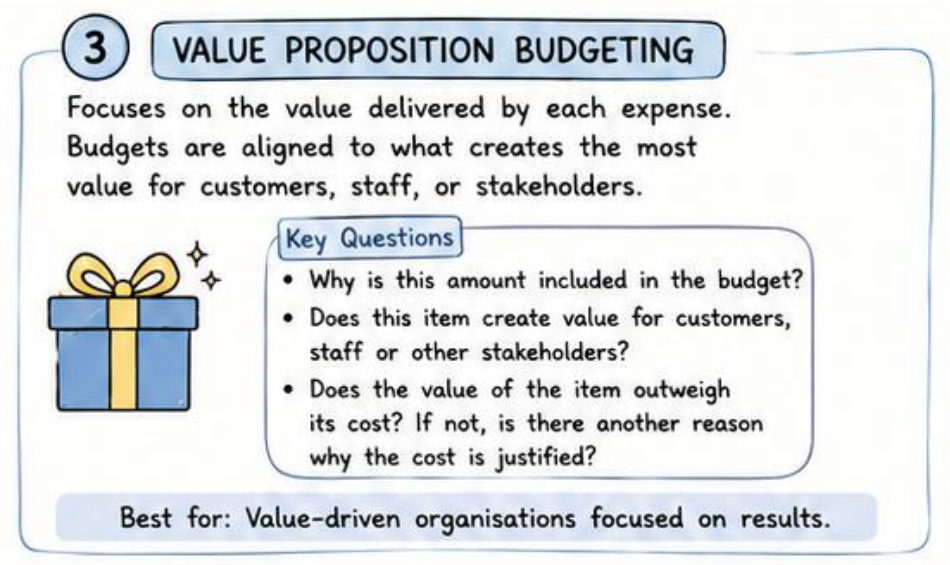
- *Perpetuates Inefficiencies:* Managers deliberately blow through funds to secure a 10% increase the next year rather than finding ways to cut costs.
- *Creates Budgetary Slack:* Teams intentionally overstate expected costs so they always appear "under budget".
- *Ignores External Factors:* Blindly relies on percentage additions while completely ignoring external macroeconomic shocks or sector-specific inflation.



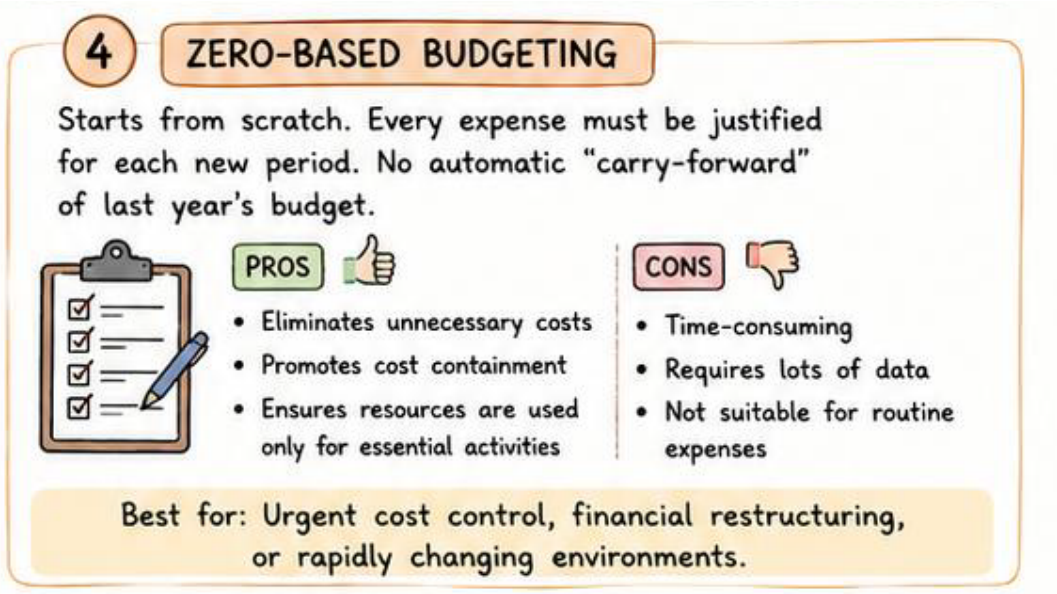
2. **Activity-based Budgeting:** Activity-based budgeting is a top-down type of budget that determines the amount of inputs required to support the targets or outputs set by the company.



3. **Value Proposition Budgeting:** Value proposition budgeting is really a mind set about making sure that everything that is included in the budget delivers value for the business. It is a strategic framework where every single line item must be justified by value questions: *Why is this amount included? Does it create direct value for customers, staff, or investors? Does the value outweigh the cost?* It aims to systematically eliminate zero-value expenditures



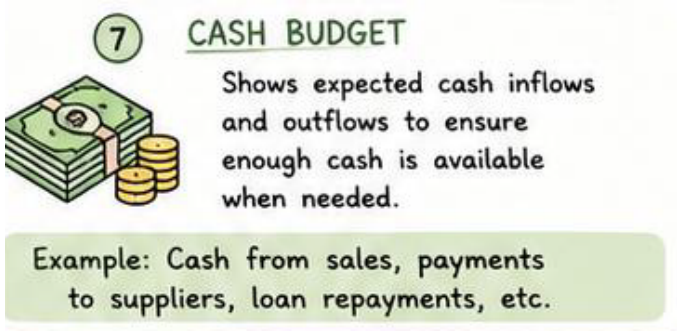
4. **Zero-based Budgeting:** As one of the most commonly used budgeting methods, zero-based budgeting starts with the assumption that all department budgets are zero and must be rebuilt from scratch. Managers must be able to justify every single expense. No expenditures are automatically "okayed" No historical expenditures are automatically protected; managers must rigorously justify every single cost.
   - *When to deploy:* Essential during urgent corporate turnarounds, severe market downturns, or financial restructurings requiring drastic cost containment.
   - *Limitation:* It is exceptionally time-consuming and works best for discretionary costs rather than fixed operational survival costs



5. **Operating budget:** Revenues and associated expenses in day-to-day operations are budgeted in detail and are divided into major categories such as revenues, salaries, benefits, and non-salary expenses.

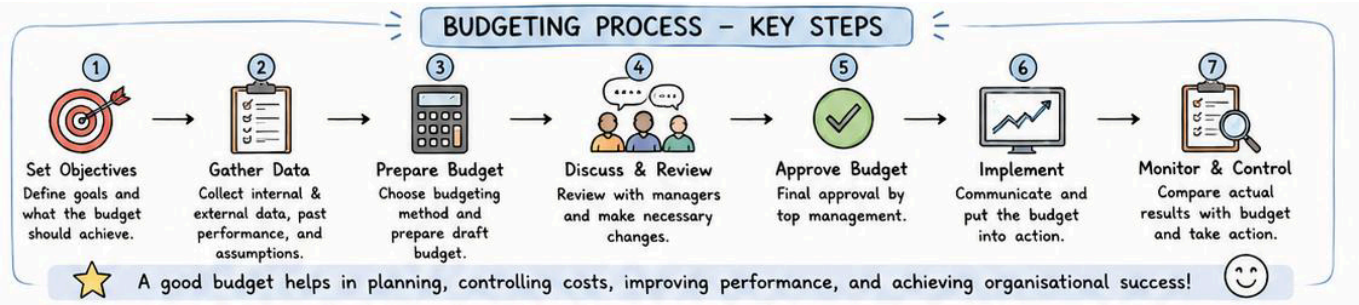
6. **Capital budget:** Capital budgets are typically requests for purchases of large assets such as property, equipment, or IT systems that create major demands on an organization's cash flow. The purposes of capital budgets are to allocate funds, control risks in decision-making, and set priorities.

7. **Cash budget:** Cash budgets tie the other two budgets together and take into account the timing of payments and the timing of receipt of cash from revenues. Cash budgets help management track and manage the company's cash flow effectively by assessing whether additional capital is required, whether the company needs to raise money, or if there is excess capital.



3. **Budgeting Process**

The budgeting process is often considered a long and tedious one that requires gathering, consolidating, and analysis of data from multiple sources.



The process of budgeting helps chalk out a detailed road map for the business.

- Once a budget is prepared, the process teams get a clear picture of goals and objectives and the performance indicators to measure the progress.
- Finance teams review past budgets and plan expenses for forecasting revenue during the budgeting in process.
- The process of budgeting must align with the upper management while analyzing the budget data and establishing future goals for better control of spending.

IN SIMPLE WORDS — Budgeting

A budget is the financial backbone of every plan. Imagine planning a wedding without a budget — the guest list blooms, the venue upgrades, the catering expands — and then the bills arrive. A budget is the reality check that keeps every function of management grounded in what is actually possible.

MCQ KEY POINTS

- CIMA Definition: "financial and/or quantitative statement, prepared prior to a defined period, of the policy to be pursued to attain a given objective."
- Budget = single-use plan in numerical terms. Budget-making = planning; administration = controlling.
- Incremental Budgeting = most common and simplest. Risk: perpetuates inefficiency, budgetary slack, ignores external factors.
- Zero-based Budgeting (ZBB) = all budgets start at zero; every expense justified. Best during financial restructuring.
- Capital Budget = for large asset purchases (property, equipment, IT). Controls risks in major decisions. Cash Budget ties operating and capital budgets together; manages timing of cash flows.

⚠ **MCQ Trap:** "Activity-based budgeting is a TOP-DOWN approach" — it starts with output targets set by the company.

⭐ KEY POINTS — Quick Revision Checklist ⭐

- **Planning = PRIMARY + PERVASIVE + CONTINUOUS + INTELLECTUAL function. George R. Terry's definition. "Forecasting alone ≠ Planning."**
- **8 Elements of Planning: Mission | Objectives | Strategies | Policies | Procedures | Rules | Programmes | Budget.**
- **7 Steps in Planning: Perception → Objectives → Premises → Action Plans → Budgets → Implementation → Control.**
- **Organizing: Authority flows DOWN. Responsibility flows UP. Responsibility CANNOT be delegated. Parity: Authority = Responsibility.**
- **Centralization = small orgs, quick decisions, vertical info flow. Decentralization = large orgs, autonomy, faster decisions at lower levels.**
- **Staffing = right person + right job + right time. 7 Characteristics: People / Development / Pervasive / Continuous / Human / Individual+Group / Cordial.**
- **Training = short-term, job-oriented, management-led. Development = long-term, career-oriented, self-led.**
- **Directing initiates action. 4 Features: Initiates | Pervasive | Continuous | Top-to-Bottom. Unity of Command = 1 boss per subordinate.**
- **Motivation = Latin "Movere" = to move. Cannot be forced. Bridges capacity-willingness gap.**
- **Supervision = Super + Vision. 8 Significances. Provides Feedback = last and most important significance.**
- **Leadership: 8 Features. C.I. Bernard: "quality of behaviour whereby they guide people in organised efforts."**
- **Coordination = SOUL of management. 3 Elements: Balancing | Timing | Integration. Follett's 4 Principles.**
- **12 Types of Coordination: Internal/External | Procedural/Substantive | Vertical/Horizontal | Formal/Informal | Functional/Cross-functional | Inter-org/Global.**
- **7 Objectives of Budgeting. 7 Types: Incremental (most common) | ABB | Value Proposition | ZBB (best for cost containment) | Operating | Capital | Cash.**
- **Deviation Reporting: 7 Steps. CAPA = Corrective and Preventative Actions. Tools: 5 Whys, Fishbone Diagram.**

LESSON 9: PRINCIPLES OF MANAGEMENT AND MODERN APPROACHES

Part A: Henry Fayol's 14 Principles of Management

Henri Fayol, a French mining engineer and management theorist, identified 14 principles to guide how organisations should be administered. He described these as a matter of "convenience" — flexible guidelines, not rigid laws — meant to be adapted to circumstances rather than applied mechanically.

No.	Principle	Core Idea (Simplified)
1	**Division of Work**	Splitting work into specialised tasks improves efficiency and output for the same effort.
2	**Authority & Responsibility**	Authority (right to give orders) and Responsibility (accountability) must go hand-in-hand — they are 'co-extensive'.
3	**Discipline**	Employees must obey and respect rules; essential for smooth functioning.
4	**Unity of Command**	Each employee should receive orders from only ONE superior — avoids confusion.
5	**Unity of Direction**	One head + one plan for a group of activities sharing the same objective.
6	**Subordination of Individual Interest**	Organisational/general interest must prevail over individual interest.
7	**Remuneration**	Pay should be fair, satisfying both employer and employee.
8	**Centralisation**	Degree of authority concentrated at the top vs. dispersed — a matter of proportion, decided by top management.
9	**Scalar Chain**	The formal chain of superior–subordinate authority;

		should be short-circuited only when necessary, not bypassed routinely.
10	**Order**	'A place for everything and everyone, and everything/everyone in its place' — material and social order.
11	**Equity**	Kindliness + justice in dealing with employees; fair, equal treatment.
12	**Stability of Tenure**	Minimise employee turnover; give people time to settle and perform.
13	**Initiative**	Encourage employees to think up and execute plans on their own.
14	**Esprit de Corps**	Promote team spirit and harmony; 'union is strength' — effective communication builds it.

Exam Note: Fayol did not intend the list to be closed or inflexible — principles of management are relatively FLEXIBLE (unlike rigid pure-science principles). This is a recurring MCQ point.

MCQ KEY POINTS

- Henry Fayol = Father of General/Modern Management.
- Propounded by Henri Fayol; principles are flexible/relative, not rigid (unlike pure science).
- Unity of Command = one boss only; Unity of Direction = one plan, one head for a group of activities (commonly confused pair in MCQs).
- Authority and Responsibility are "co-extensive."
- Scalar Chain = the superior-subordinate chain of authority.
- Esprit de Corps = team spirit/union is strength.
- Centralisation = a "question of proportion," decided by top management.

Part B: Taylor's Principles of Scientific Management

Frederick W. Taylor (1901) is known as the 'Father of Scientific Management'. His goal was to use systematic, scientific study — instead of guesswork or tradition — to find the 'one best way' of performing each task.

Taylor's Four Principles

1. Develop a Science for each element of work — First, 'develop a science' for each element of work. Study it. Analyse it. Determine the 'one best way' to do the work. Replace rule-of-thumb methods with systematic study and analysis of each task to find the "one best way."

- Example: research-based introduction of rest breaks for factory workers, previously unheard of, was shown to boost output.
- Emphasis on observation, measurement, and experimentation rather than guesswork or tradition.

2. Scientific Selection, Training & Development of workers — hire based on aptitude, not favouritism/nepotism (the old practice); then train them systematically. Before Taylor, supervisors often hired on the basis of favouritism and nepotism.

- Provide systematic training and development, a rare practice before Taylor's time.
- Aim: match the right worker to the right job and continuously improve their skill.

3. Cooperation between Management and Workers — to ensure scientific principles are actually implemented; Taylor believed employer and employee prosperity are interlinked, not antagonistic.

- Taylor's core belief: employer and employee prosperity are interlinked, not opposed.
- True scientific management means high wages for workers and low labour cost for employers simultaneously.

4. Equal Division of Work and Responsibility — Prior to Taylor, workers alone were held responsible for productivity and performance. But, said Taylor, 'Almost every act of the workman should be preceded by one or more preparatory acts of the management which enable him to do his work better and quicker than he otherwise could'.

- Management must share responsibility by planning and preparing
- Workman's tasks should be preceded by management's preparatory acts for better and faster execution.

Underlying Aim: Taylor felt these principles could be used to determine a 'fair day's work', for a 'Fair day's pay' for management and employees so that what was good for employees was also good for management. One of the best ways, according to Taylor, to align management and employees was to use incentives to motivate workers e.g. payment for each product produced.

Historical Note: Taylor's emphasis on time-and-motion study and shop-floor efficiency, while influential (hailed as a 'second industrial revolution'), drew criticism (including a 1912 Congressional hearing) and somewhat overshadowed Fayol's broader administrative principles, especially in the UK and USA.

Fayol vs Taylor – Quick Contrast

Aspect	Henry Fayol	F. W. Taylor
Known as	Father of General/Administrative Management	Father of Scientific Management
Focus level	Top management / organisation-wide	Shop-floor / worker-task level
Approach	14 broad, flexible principles	4 principles based on scientific study of tasks
Orientation	Management as a universal process	Improving efficiency of individual workers

MCQ KEY POINTS

- Taylor = "Father of Scientific Management" (1901).
- Main aim = improve efficiency and reduce wastage (not increase sales/cut wages/raise headcount).
- 4 principles: (1) develop a science for each task — find the "one best way," (2) scientific selection & training of workers, (3) cooperation between management and workers, (4) equal division of work/responsibility.
- Pre-Taylor hiring was based on favouritism/nepotism — Taylor introduced aptitude-based selection.
- Taylor faced a Congressional Committee hearing in 1912 due to criticism.
- Scientific management is sometimes called the "second industrial revolution."

Part C: Modern Approaches to Management

1. Management by Objectives (MBO)

What is MBO

- A strategic approach aligning company goals with individual employee objectives.
- Promotes collaboration, clarity, and shared direction across the organization.

Management by Objectives (MBO) is a strategic approach to enhance the performance of an organization. It is a process where the goals of the organization are defined and conveyed by the management to the members of the organization with the intention to achieve each objective.

Steps in the MBO Process

1. **Define organisation goals** — set provisionally by top management based on what the company can/should achieve.
2. **Define employee objectives** — one-on-one discussion between manager and subordinate to set individual, feasible targets.
3. **Continuous monitoring** of performance and progress.
4. **Performance evaluation** — done with participation of the concerned manager.

5. **Providing feedback** — continuous + periodic formal review meetings.
6. **Performance appraisal** — routine review of employee success within the MBO framework.

Features of MBO

1. Aligns company goals with employee objectives, fostering collaboration and clarity in organizational performance.
2. Involves five steps: Define objectives → Communicate to employees → Encourage participation → Monitor progress → Evaluate performance & reward.
3. Boosts motivation and communication, but can over-focus on targets, encouraging shortcuts and neglect of company culture.
4. Effectively aligns individual and organizational goals, but needs strong management support and shouldn't be relied on exclusively.

5. Critics argue excessive goal focus can detract from broader organizational values and long-term growth.

Benefits vs Limitations of MBO

Benefits:
• Clarifies roles & responsibilities for employees
• Key Result Areas are tailored to each employee's interest & specialisation
• Improves teamwork and communication
• Builds sense of indispensability and loyalty
• Aligns individual goals with organisational objectives

Limitations
• Tends to ignore existing organisational ethos/culture
• Excessive focus on targets can create pressure/shortcuts
• Operational issues may be under-emphasised vs. target-setting
• Ignores the surrounding context (resources, stakeholder buy-in)
• Risk of being treated as a total system/cure-all, causing over-dependence

MCQ KEY POINTS

- Core idea: goals set jointly by management and employees, then monitored and reviewed.
- 5/6-step process order: define org goals → define employee objectives → monitor → evaluate → feedback → appraisal.
- Limitation often tested: MBO over-emphasises targets and can ignore organisational culture/context.

2. Contingency Approach

The Contingency Approach holds that there is NO single best way to manage — the most effective management style or structure depends on the specific situation/context (external environment, task nature, workforce, culture).

Key Theories under the Contingency Approach

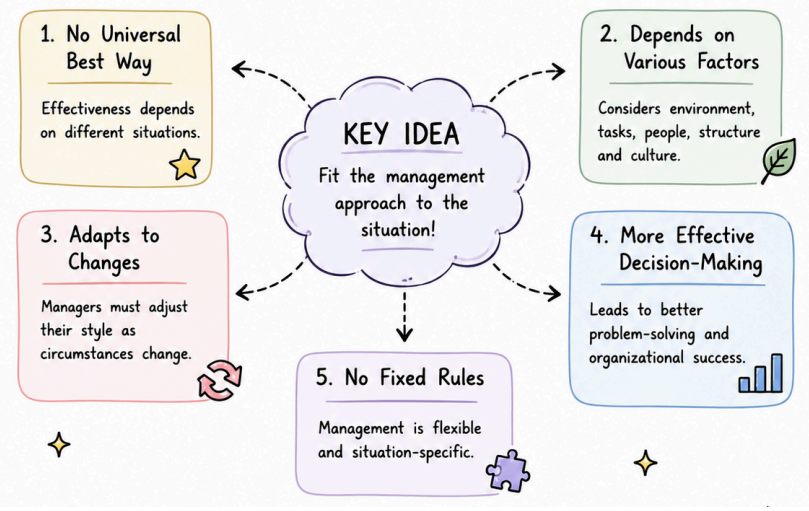
- **Fiedler's Contingency Theory** — leader effectiveness depends on fit between leadership style (task-oriented/relationship-oriented) and the situation (judged via leader-member relations, task structure, positional power).
- **Situational Leadership Theory** — leaders adapt style to follower readiness: Telling → Selling → Participating → Delegating, as competence/commitment

grows.

- **Path-Goal Theory (Robert House)** — leaders motivate followers by clarifying the path to goals, removing obstacles, and choosing directive/supportive/participative/achievement-oriented styles as needed.
- **Decision-Making Theory** — managers choose autocratic, consultative, or participative decision styles depending on the problem's complexity and urgency.

Characteristics of the Contingency Approach

- **Situational Perspective** — no one-size-fits-all solution.
- **Contextual Factors** — size, industry, technology, culture, goals and external environment shape what works.
- **Flexibility** — managers must adjust strategies as situations change.
- **Individualisation** — practices tailored to each employee's unique needs and motivations.



MCQ KEY POINTS

- Core idea: "no single best way to manage" — depends on the situation.
- Fiedler's Theory: leader effectiveness = match between style (task/relationship-oriented) and situation (leader-member relations, task structure, positional power).
- Situational Leadership Theory: 4 styles in order — Telling → Selling → Participating → Delegating (based on follower readiness/maturity).
- Path-Goal Theory: by Robert House; leader clarifies the path, removes obstacles (directive/supportive/participative/achievement-oriented styles).
- Decision-Making Theory: choice of autocratic/consultative/participative style depends on situation.

3. MOST Analysis

MOST is a strategic tool used to analyse an organisation's strategic plan: **MOST stands for Mission, Objectives, Strategy, and Tactics.**

Element	Meaning
Mission	Overriding **direction/purpose** of the organisation; positions it to succeed.
Objectives	**Specific outcomes to be achieved** — should be SMART (Specific, Measurable, Achievable, Realistic, Timely).
Strategy	**Long-term direction** & scope to gain advantage in a changing environment; contains options to meet objectives.
Tactics	Short-term, operational **plans**/projects that **implement** the strategy.

Use: Analyses **WHAT** the organisation has set out to achieve (Mission + Objectives) and **HOW** it plans to achieve it (Strategy + Tactics); also reveals organisational strengths/weaknesses during strategy analysis.

Benefits of MOST Analysis

- Helps define what the organisation has set out to achieve (the mission and objectives) and helps the organisation communicate its purpose.
- Determines how it aims to achieve this (strategy and tactics).
- Identifies, strengths, weaknesses, opportunities, and threats that the organisation faces.
- Helps define business and transformation roadmaps to help enable the strategy.
- Enables alignment with stakeholders.
- Avoids day-to-day distractions and provides a basis for overall strategic direction.

MCQ KEY POINTS

- MOST = Mission, Objectives, Strategy, Tactics.
- Objectives must be SMART (Specific, Measurable, Achievable, Realistic, Timely).
- Mission = overall direction/purpose; Strategy = long-term direction/scope; Tactics = short-term operational plans.
- MOST is formulated/used by managers (not workers, government, or trademark authorities — a direct exam distractor).

⭐ KEY POINTS — Quick Revision Checklist ⭐

- **Henry Fayol = Father of General/Modern Management. Frederick Taylor = Father of Scientific Management.**
- **Unity of Command (Principle 4) = One employee, one boss. Unity of Direction (Principle 5) = One group, one head, one plan. Different levels — individual vs group.**
- **Centralisation under Fayol = 'question of proportion' — neither absolute centralisation nor absolute decentralisation.**
- **Scalar Chain = Superior-subordinate hierarchy; CAN be short-circuited when it proves detrimental. The shortcut is called a 'Gang Plank'.**
- **Equity = Kindliness + Justice. NOT just equality of treatment alone.**
- **Fayol did NOT intend his 14 principles to be a closed or inflexible list.**
- **Taylor's goal (1901): Find the 'one best way' of doing each task through systematic study.**
- **Taylor appeared before Congressional Committee hearings in 1912 due to public criticism of scientific management.**
- **Scientific management was described as 'second industrial revolution' of the 20th century.**
- **MBO - Joint goal-setting + monitoring + feedback to align employee and organisational objectives.**
- **Contingency Approach -No single best way. Adapt management style to specific situation/context**
- **MOST Analysis-Mission, Objectives, Strategy, Tactics**
- **SMART Objectives: Specific, Measurable, Achievable, Realistic, Timely.**
- **MOST Analysis formulation is done by MANAGERS (not workers, government, or trademark authorities) — direct exam question answer.**
- **Management principles are FLEXIBLE (not rigid like pure science principles) — direct fill-in-the-blank exam question answer.**

LESSON 10: MANAGEMENT KNOWLEDGE FOR COMPANY SECRETARIES

COMPANY SECRETARY AS KEY MANAGERIAL PERSONNEL (KMP)

The Company Secretary plays an important role as a governance professional across all types of corporates — private, public, Section 8, and government companies. In modern corporate governance, the CS's role is not limited to compliance; it extends to creating cultures of good practice.

The CS acts as a BRIDGE for information, communication, advice, and arbitration between the Board and management, and between the organisation and its stakeholders including shareholders. The CS must act with the highest integrity and independence in protecting the interests of the organisation, shareholders, and all with a legitimate interest in its affairs.

Statutory Position under Companies Act, 2013:

The Company Secretary has been recognised as Key Managerial Personnel (KMP) under Section 203 of the Companies Act, 2013, placed alongside the MD/CEO/Manager, Whole-Time Director(s), and CFO.

⭐Every listed company and every company having paid-up share capital of Rs. 10 crore or more is required to appoint a whole-time Company Secretary as KMP.

Definition of KMP under Section 2(51):

i. the Chief Executive Officer or Managing Director or Manager
ii. the Company Secretary
iii. the Whole-Time Director
iv. the Chief Financial Officer
v. such other officer, not more than one level below the directors, in whole-time employment, designated as KMP by the Board
vi. such other officer as may be prescribed

CS AS COMPLIANCE OFFICER & PART OF SENIOR MANAGEMENT

Role / Capacity	Key Legal Provision & Responsibilities
Compliance Officer (Regulation 6, SEBI LODR 2015)	**Listed companies must appoint a qualified CS** as Compliance Officer. Responsible for: (a) **Ensuring conformity with regulatory provisions** in letter and spirit; (b) **Co-ordination** with the Board, stock exchanges, and depositories; (c) **Ensuring correctness, authenticity, and comprehensiveness** of information filed; (d) **Monitoring investor grievance** redressal email.
SEBI Insider Trading & Takeover	CS also ensures compliance with SEBI (Prohibition of Insider Trading) Regulations, 2015 and SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011. Maintains various documents required thereunder.
Senior Management (Regulation 16, SEBI LODR 2015)	**Senior management = one level below CEO/MD/WTD/Manager.** Specifically includes the CS and CFO. CS is therefore part of the core senior management team.
Two Practice Domains	(1) **Company Secretary in Employment** — serves as KMP within a company. (2) **Company Secretary in Practice** — provides professional services to multiple clients.

IN SIMPLE WORDS — CS as KMP

Think of the Company Secretary as the nerve centre of a well-governed company. The Board is the brain — making strategic decisions. The CEO is the heart — driving execution. But the CS is the spinal cord — connecting every organ, ensuring every signal is transmitted correctly, and protecting the entire system from compliance failures. Remove the spinal cord, and even the best brain and heart cannot function. That is why the law recognises the CS as Key Managerial Personnel — not a support function, but a central pillar of corporate governance.

ROLE, FUNCTIONS & DUTIES OF COMPANY SECRETARY

Functions & Duties under Companies Act, 2013

Historically, the CS was a record-keeper. But Today, the CS is a confidante of the Board — advising on governance, ensuring legal and social license to operate, and acting as the glue for effective board-level decision making. Functions and duties are governed by the Companies Act, 2013 and Rule 10 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

3 Statutory Functions as (Companies Act, 2013):

a. To **REPORT** to the Board about compliance with the provisions of this Act, rules, and other applicable laws.
b. To **ENSURE** compliance with applicable Secretarial Standards.
c. To **DISCHARGE** such other duties as may be prescribed.

8 Duties under Rule 10 (Companies (Appointment & Remuneration) Rules, 2014):

No.	Duty of Company Secretary
(1)	To **PROVIDE GUIDANCE** to directors (collectively and individually) on their duties, responsibilities, and powers.
(2)	To **FACILITATE** convening of meetings and attend Board, committee, and general meetings — and maintain minutes.
(3)	To **OBTAIN APPROVALS** from the Board, general meeting, government, and other authorities as required.
(4)	To **REPRESENT** before various regulators and other authorities under the Act.
(5)	To **ASSIST** the Board in conduct of the affairs of the company.
(6)	To **ASSIST AND ADVISE** the Board in ensuring good corporate governance and complying with best practices.
(7)	To **DISCHARGE** such other duties as specified under the Act or rules.
(8)	Such other duties as may be **ASSIGNED BY THE BOARD** from time to time.

⭐CS as Secretarial Auditor — Section 204, Companies Act, 2013

Secretarial Audit is the audit of **NON-FINANCIAL** aspects of the company. It provides comfort to investors, management, regulators, and other stakeholders regarding compliance of all applicable laws and the existence of adequate systems and processes. It is a strong pillar of the governance framework of the Indian Corporate Sector.

Which companies must conduct Secretarial Audit? (Section 204(1), Companies Act, 2013):

Category of Company	Threshold Requiring Secretarial Audit
Listed Company	All listed companies — mandatory.
Public Company — Share Capital	Paid-up share capital of Rs. 50 crore or more.
Public Company — Turnover	Turnover of Rs. 250 crore or more.
Any Company — Loans/Borrowings	Outstanding loans/borrowings from banks or public financial institutions of Rs. 100 crore or more.

Key Statutory Provisions:

- **Secretarial Audit Report is given in Form MR-3** by a CS in Practice and annexed with the Board's Report.
- **Regulation 24A of SEBI (LODR) 2015**: **Every listed entity** and its material unlisted subsidiaries in India **must undergo secretarial audit.**
- Every **listed entity must submit a secretarial compliance report** to stock exchanges **within 60 DAYS** from end of each financial year.
- **Section 134 + Section 204(3):** The **Board must EXPLAIN any qualification**, observation, or remark made by the CS in the secretarial audit report.
- **Penalty for contravention of Section 204: Rs. 2 LAKH — applicable to the company, every officer in default, and the CS in practice.**

Areas Where CS Renders Services

SERVICE AREA	KEY ACTIVITIES
Corporate Governance Services	Advising on good governance practices and compliance of Corporate Governance norms under Companies Act, SEBI, and other laws.
Corporate Secretarial Services	Company incorporation; filing/registrations; maintaining secretarial records, statutory books, registers; board/general meetings and minutes; share transfer and transmission.
Secretarial/ Compliance Audit & Certification	Secretarial Audit; Internal Audit; Signing Annual Return; Declarations, attestations, and certifications under Companies Act, 2013.
Corporate Laws Advisory	Advising on SEBI Act, SCRA, FEMA, Consumer Protection Act, Depositories Act, Environment Laws, Labour Laws, Mergers & Amalgamations, Joint Ventures, Competition Policy, IPR, Drafting legal docs.
Representation Services	Representing before NCLT, CCI, Securities Appellate Tribunal, ROC, Labour Courts, Consumer Forums, Telecom Disputes Tribunal, Tax Authorities, quasi-judicial bodies.
Arbitration & Conciliation	Advising on/acting as arbitrator/conciliator in domestic and international commercial disputes; drafting arbitration agreements.
Financial Markets Services	Public issue, listing, securities management; prospectus/offer documents; loan documentation; private placement; buy-back; ADR/GDR/ECB; delisting.
Takeover & Insider Trading	Ensuring compliance with Takeover Regulations; acting as Compliance Officer for SEBI (Prohibition of Insider Trading) Regulations.
Finance & Accounting Services	Internal Audit; Secretary to Audit Committee; working capital management; capital structure; business valuations; loan syndication; budgetary controls.
Taxation Services	Tax advisory (Income Tax, Excise, Customs); preparing/reviewing tax returns; representing before tax authorities and tribunals.
Management Services	General/strategic management; legal structure advisory; business policy and planning; organisational structure; ISO Certification.
Corporate Communications	Communication with shareholders, stakeholders, government, and regulators; brand equity advisory.
Human Resources Management	Advising on labour laws; manpower planning; HR audit; performance appraisal; motivation and remuneration strategies; industrial relations.
Information Technology	Cyber law compliance; Board Meetings via video-conferencing; software copyright advisory; statutory records in electronic form; electronic filing with ROC.

NEED FOR MANAGEMENT KNOWLEDGE BY A COMPANY SECRETARY

The CS must ensure legal compliances AND play a managerial role — extending counsel and advice to senior management and the Board. A thorough knowledge of management is therefore indispensable.

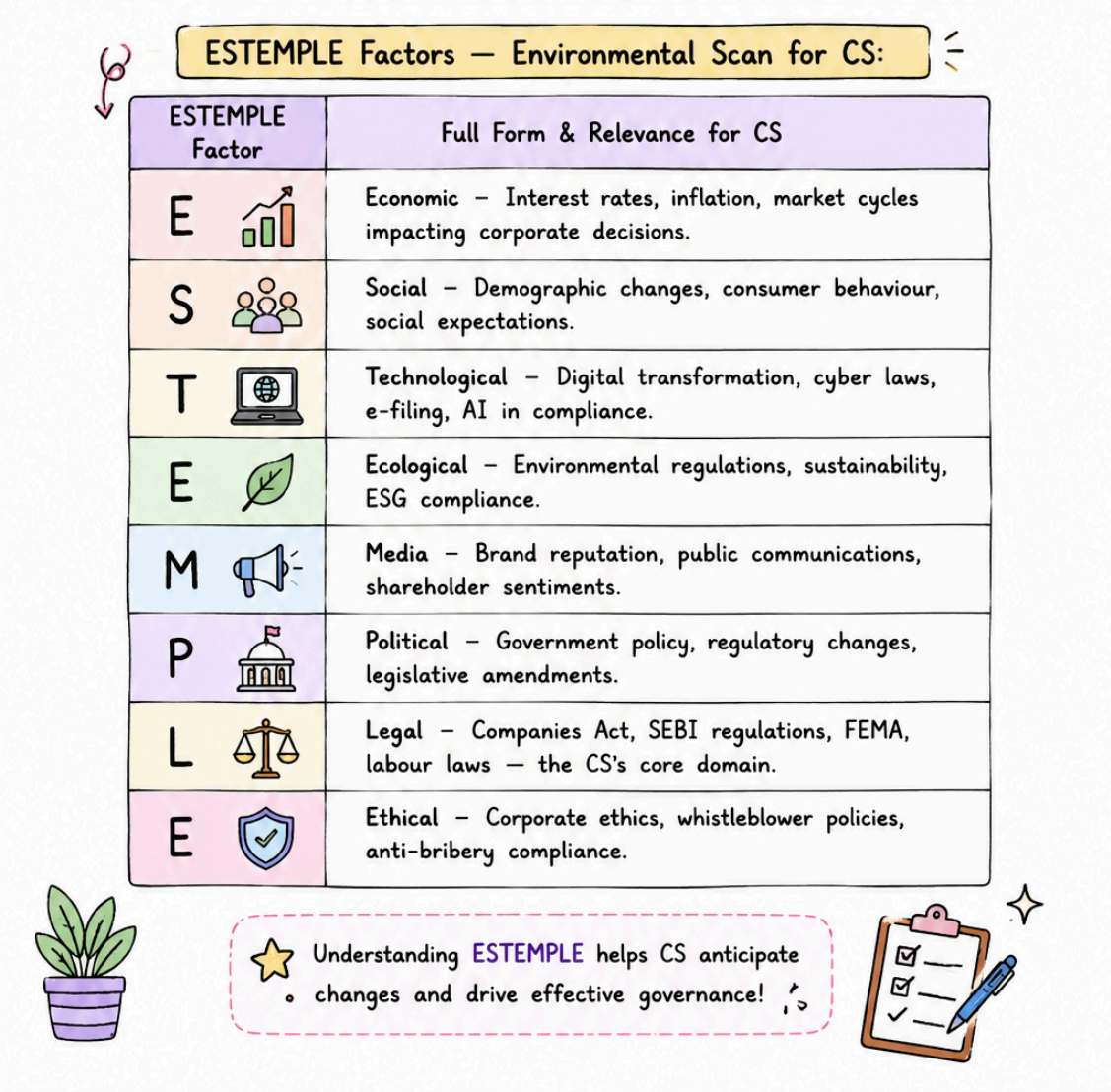
Applicability of Each Management Function to the CS Role:

Function of Management	How it Applies to the Company Secretary
1. Planning	CS is a strategic planner. To formulate robust plans for corporate restructuring, setting up new business entities (domestic/foreign), critical operations, and risk management, the CS must apply all planning steps: perception of opportunities, establishing objectives, setting premises, developing action plans, implementing, and checking deviations.
2. Organizing	CS holds a crucial KMP position and contributes substantially to integration and optimum utilisation of resources. Knowledge of the organising function helps immensely in achieving organisational efficiency.
3. Staffing	CS selects personnel for secretarial work, compliance activities, strategy formulation, annual return filing, and board support. Staffing knowledge enables effective selection, appraisal, and development of this team.
4. Directing	As a governance professional, CS provides strategic leadership to the Board, ensures all regulatory compliances, safeguards stakeholder interests, and acts as a catalyst for ESG (Environmental, Social, and Governance) dimensions — requiring strong leadership qualities.
5. Coordination	CS is the VITAL LINK between the company and its Board of Directors, shareholders, stakeholders, and regulatory authorities. CS ensures Board procedures are followed and regularly reviewed — making coordination a core daily function.

Significance of Management Theories / Approaches for Company Secretaries

Company Secretaries being advisor to the board, corporate planner, key managerial personnel, governance professional etc. have a big role in driving the management of a business organisation. Since business is always in a constant state of flux and continuously impacted by the changes occurring in the ESTEMPLE factors it is imperative to have a deep understanding about these factors and their possible degree of impact on various crucial aspects of a business.

ESTEMPLE Factors — Environmental Scan for CS:



Management Theories Relevant to CS — Significance

Management Theory	Significance for Company Secretary
Scientific Management (Taylor)	Helps CS apply systematic, evidence-based methods to compliance processes — finding the "one best way" for secretarial workflows, board meeting management, and documentation systems.
Administrative Management (Fayol — 14 Principles)	Fayol's principles directly apply to CS practice: Unity of Command (reporting structures), Scalar Chain (communication hierarchy), Esprit de Corps (board team dynamics), Equity (stakeholder treatment), and Initiative (governance innovation).
Contingency Theory	Helps CS adapt governance advice to the specific situation — the size, industry, culture, and regulatory environment of the organisation. No one-size-fits-all compliance strategy.
Theory X and Theory Y	Helps CS advise on HR policies, performance appraisal systems, and leadership styles — relevant to managing secretarial teams and advising the Board on people management.
Classical Management Theory	Provides the foundational framework for understanding organisational structures, hierarchies, and formal authority — all central to the CS's corporate governance advisory role.
Modern Management Theory	Covers systems thinking, MBO, and the contingency approach — enabling CS to advise on integrated, adaptive management strategies for the modern corporate environment.
MBO (Management by Objectives)	CS can use MBO to set SMART objectives for the compliance function, monitor progress, and provide structured feedback — applying the same framework to the governance team's performance.

Critical Skills a CS Must Develop Through Management Theories:

- **Planning & Strategic Thinking** — corporate restructuring, risk management, new entity formation.
- **Organisational Skills** — structuring the secretarial function, delegation, authority-responsibility balance.
- **Communication Skills** — board communication, regulatory reporting, stakeholder management.
- **IT Skills** — e-filing, electronic records, video-conferenced Board meetings, cyber law compliance.
- **People Skills** — managing secretarial teams, advising on HR policies, industrial relations.

Why CS Needs Management Knowledge — The Simple Story

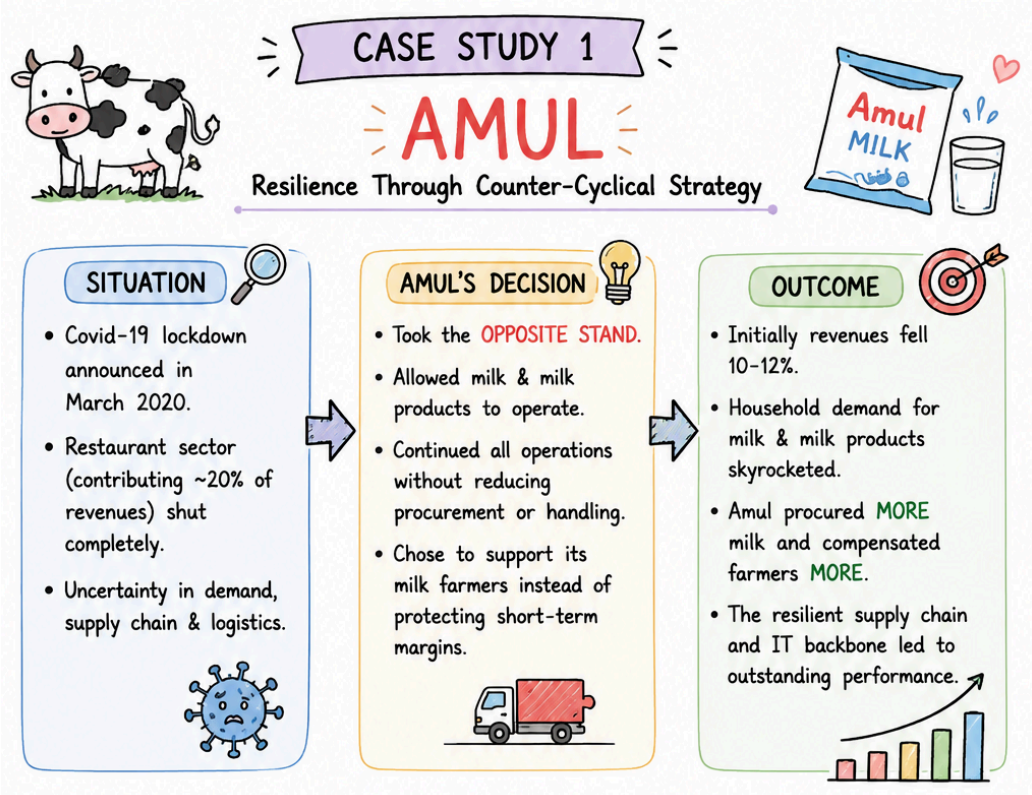
A pilot must know aerodynamics — not because they design planes, but because they fly them. A Company Secretary must know management — not because they run the company, but because they are the governance backbone of the company. Every management function connects directly to the CS role: Planning (corporate restructuring), Organising (resource integration), Staffing (secretarial team management), Directing (strategic leadership to the Board), and Coordination (the daily link between Board, management, and regulators).

ESTEMPLE reminds the CS that the business environment is always changing — and a CS who understands these forces can provide smarter, more proactive advice to the Board.

CASE STUDIES ON MANAGEMENT – INDIAN

These case studies provide deep insights into management principles in action and highlight the opportunities for Company Secretaries in dealing with management-related matters at the Board level.

CASE STUDY 1: AMUL

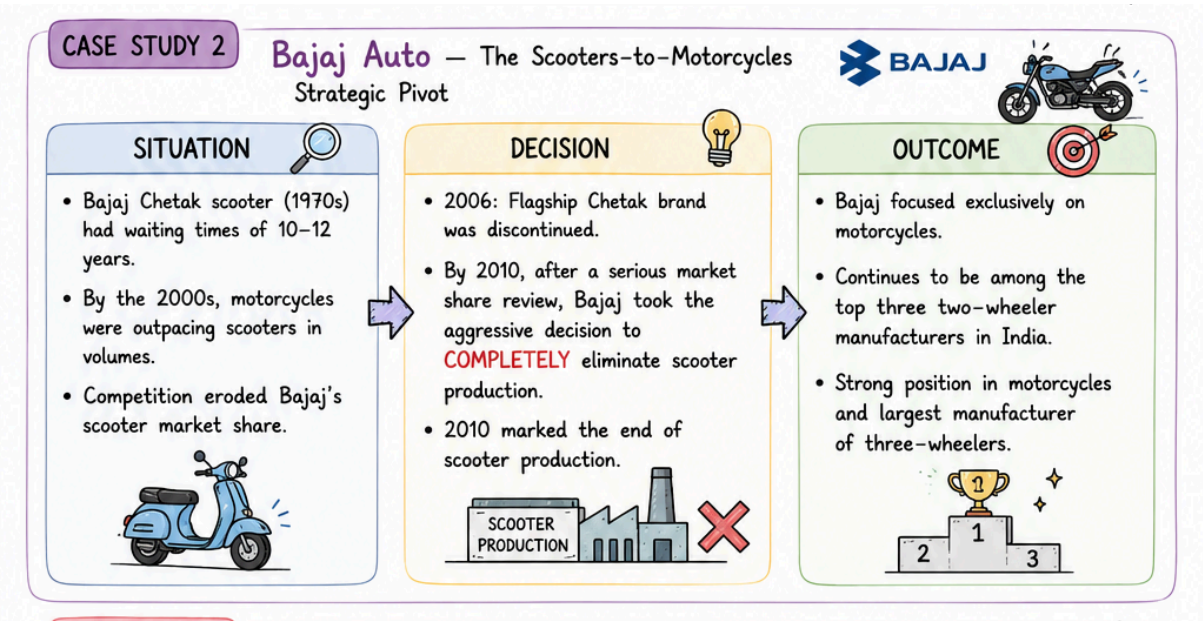


Management Lesson:

- Counter-cyclical planning — the PLANNING function executed with foresight and courage.
- Resilient supply chain = the COORDINATION function at its finest.
- Supporting farmers = Fayol's principle of SUBORDINATION (organisational interest > short-term profit) + Esprit de Corps (solidarity with the farmer network).

CS Lesson: In a crisis, the Board needs strategic counsel. A CS with management knowledge can help the Board weigh long-term stakeholder impact against short-term financial pressure.

CASE STUDY 2: Bajaj Auto

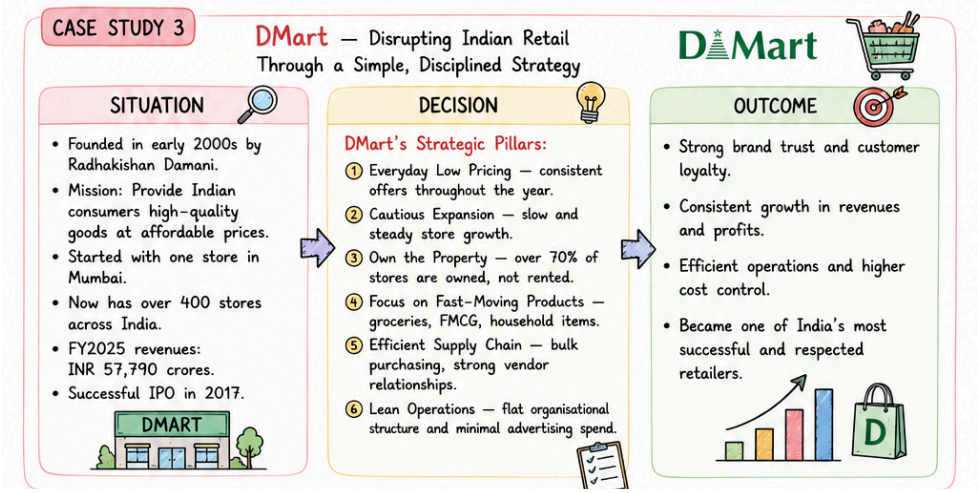


Management Lesson:

- Strategic Planning = the Board's courageous decision to exit a failing segment despite emotional attachment to the Chetak brand.
- MOST Analysis in practice: Mission (be a top two-wheeler manufacturer) → Strategy (focus on motorcycles) → Tactics (shut scooter production by 2010).
- Contingency Approach: The decision was driven by reading market conditions, not applying a universal rule.

CS Lesson: Strategic reviews that involve product exits, restructuring, or segment changes require the CS to manage Board resolutions, regulatory filings, and stakeholder communications — all requiring strong management knowledge.

CASE STUDY 3: DMart

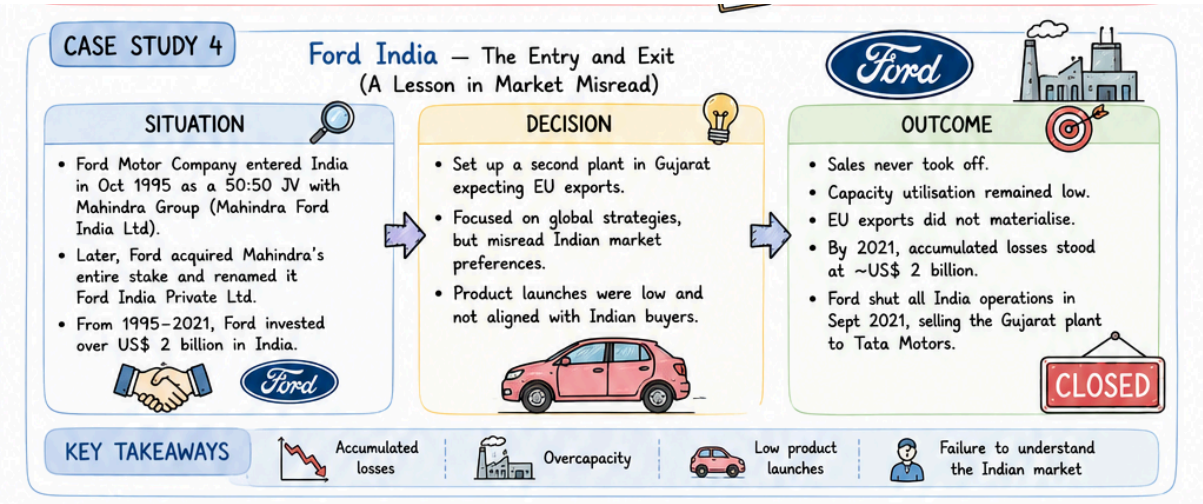


Management Lesson:

- A focused Mission + disciplined Strategy + clear Tactics = MOST Analysis working in perfect alignment.
- Owning properties instead of renting = long-term PLANNING over short-term convenience.
- Flat organisational structure = Fayol's principle of Division of Work + efficient Scalar Chain.

CS Lesson: A CS who understands business strategy can provide more relevant governance advice — alerting the Board to risks in expansion strategy, property acquisition compliance, and FMCG regulatory requirements.

CASE STUDY 4: Ford India

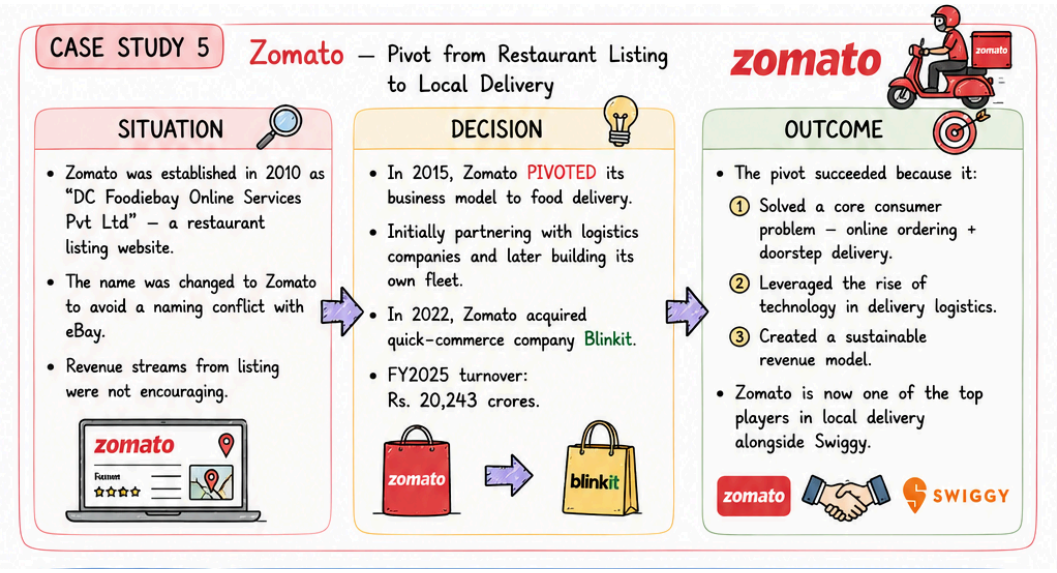


Management Lesson:

- Planning Failure: Expanding capacity without validating market demand = poor planning premises.
- Contingency Approach ignored: Ford applied a global product strategy to an Indian context that required local adaptation (like Gillette Guard's success below).

CS Lesson: A CS with ESTEMPLE awareness — particularly understanding Economic and Social factors — can flag misalignment between market realities and Board strategies before they become catastrophic.

CASE STUDY 5: Zomato

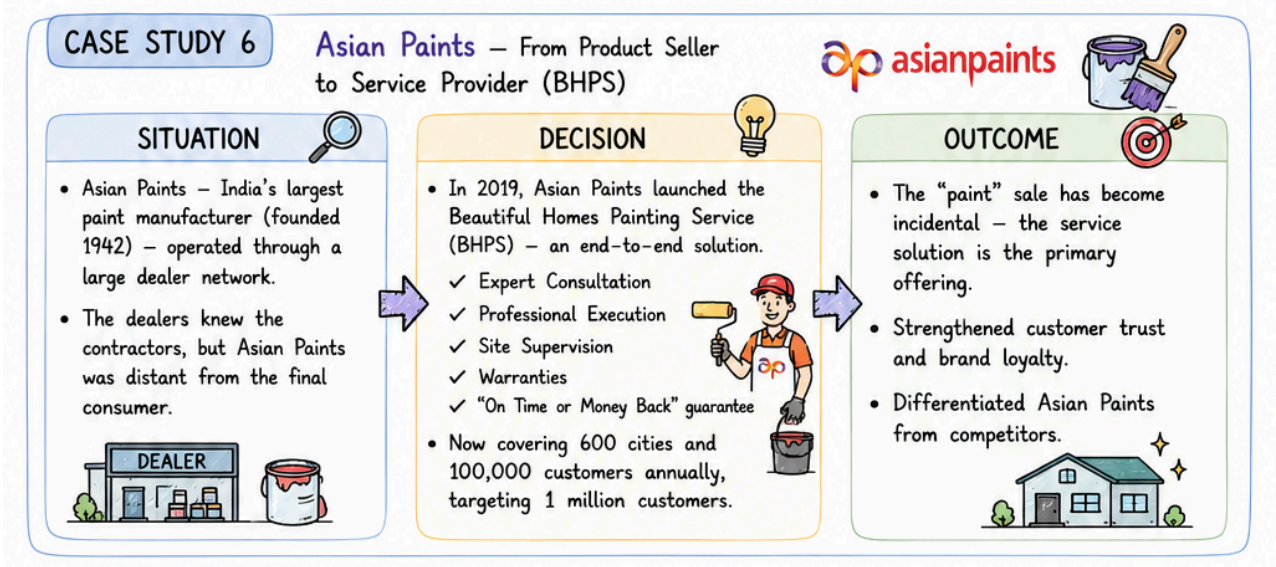


Management Lesson:

- Strategic pivot = applying Contingency Theory — when the restaurant-listing model failed, Zomato adapted rather than persisting.
- MBO in action: Clear objective (profitability through delivery), action plan (own fleet), continuous monitoring (city-by-city expansion).

CS Lesson: Business model changes require Board resolutions, updated MOA/AOA, regulatory filings, and restructuring — all in the CS's domain. Management knowledge helps the CS advise on the governance of the pivot itself.

CASE STUDY 6: Asian Paints

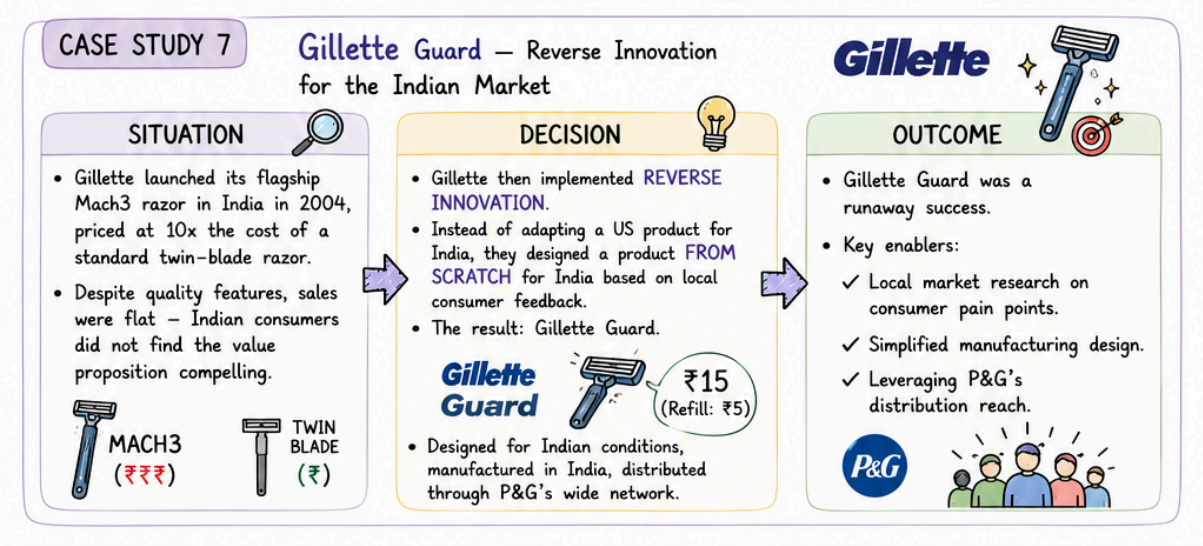


Management Lesson:

- Strategic shift from product to service = applying Blue Ocean Strategy within the MOST framework.
- Directing: Multiple teams are coordinated under the Asian Paints brand, with the company taking complete responsibility — illustrating Fayol's Unity of Direction.

CS Lesson: Launching a new service model requires updated corporate contracts, consumer protection compliance, warranty obligations, and potentially new regulatory registrations — the CS must understand the business to manage governance effectively.

CASE STUDY 7: Gillette Guard



Management Lesson:

- Reverse Innovation = the Contingency Approach applied to product development — the Indian context required a completely different product, not a modified global one.
- Taylor's Scientific Management: systematic consumer research → one best design for the Indian market.

CS Lesson: A foreign company launching a new product in India requires careful planning of regulatory compliance, manufacturing licences, and market entry structures — exactly where the CS adds value.

CASE STUDIES ON MANAGEMENT — INTERNATIONAL

CASE STUDY 8: PayPal — The Financial Wellness Initiative (Employee Wellbeing as Strategy)

In 2015, Dan Schulman became CEO of PayPal with the mission to democratise financial services using technology. The company's stated purpose was universal financial health. However, by 2019, the CEO discovered that a significant proportion of PayPal's own entry-level employees were financially insecure — running out of money between pay cheques.

Over six months, a comprehensive programme was developed: reducing healthcare costs, granting stock options to ALL employees (regardless of level or tenure), raising wages, and providing access to personal financial education.

Two years later, results were visible: fewer employees running out of money between pay cheques, lower frontline attrition, and increased company revenues and profits — the programme cost was more than compensated.

Management Lesson:

- Servant Leadership: CEO prioritised employee wellbeing before realising it also drove business results.
- Management theories in action: Servant Leadership (CS Lesson 8) + MBO (set clear financial wellness goals) + Motivation theories (Maslow — basic financial security needs).

CS Lesson: PayPal's initiative required Board approval for stock option grants, changes to compensation structures, and significant HR policy amendments — all requiring CS involvement in governance and regulatory compliance.

CASE STUDY 9: Hilti — Turning a Product Business into a Rental/Fleet Mode

Hilti (founded 1941) manufactured power tools for the construction industry. Customers were satisfied with quality but struggled to maximise utilisation across different sites and had to constantly upgrade with technology changes.

In 2000, Hilti made a bold strategic decision: LEASE the tools on monthly rental instead of selling them. Customers only paid for usage. Hilti took back tools after the contract period and replaced them with upgraded versions. Initially faced scepticism. Today, the rental model is the backbone of Hilti's business — sustaining for over two decades.

Management Lesson:

- Business model disruption = identifying that tools were INCIDENTAL ASSETS for customers, not core assets.
- Strategic Planning: Hilti's decision required completely reimagining the revenue model — from one-time sales to recurring monthly cash flows.
- Fayol's Centralization: A decision of this magnitude required top management leadership and unified strategic direction.

CS Lesson: A shift from a product-sale model to a lease/fleet model requires changes to revenue recognition policies, legal documentation for rental contracts, and regulatory compliance for new service structures.

CASE STUDY 10: Netflix — Employee Empowerment Model (Context, not Control)

Netflix Inc (founded 1997, California) offers streaming video on a subscription basis. As of 2024: over 14,000 employees and 300 million+ subscribers worldwide.

Netflix's management model: extremely broad employee discretion on business decisions, expenses, and vacations — guided by the principle "act in Netflix's best interest" using CONTEXT not CONTROL. No set vacation policy — employees decide their own leave. Stock options granted monthly. Pay is set at the top of each employee's personal market. In return, Netflix applies the "KEEPER'S TEST": every supervisor constantly reviews whether they would fight to retain each employee. If the answer is "no," the employee is let go.

Result: a high-performance culture with transparent evaluation.

Management Lesson:

- Laissez-Faire Management (Lesson 7) + Servant Leadership: Maximum autonomy for high performers, with clear performance accountability.
- Contingency Approach: Netflix's model works for a high-skilled, creative

workforce — it would be inappropriate for a manufacturing or compliance-intensive environment.
- Theory Y assumptions: Employees are self-motivated and capable — need context, not control.

CS Lesson: Netflix's model requires careful documentation — clear performance standards, legal compliance for flexible leave policies, stock option plans, and transparent evaluation criteria.

CASE STUDY 11: IBM — Exit from PC Business (Strategic Divestiture as Strength)

IBM (founded 1911) dominated computing through mainframes (70% market share by the 1970s) and its ThinkPad PC brand. By the 2000s, PC margins were dwindling with HP and Dell gaining share.

IBM decided to exit the PC market entirely and concentrate on services and industrial research. In 2005, IBM sold its PC division to Chinese company Lenovo for ~US$ 1.25 billion (cash + stock).

Lenovo gained: the ThinkPad brand, IBM's R&D access, and a 5-year licence to use the IBM name. IBM gained: freed-up resources for its more profitable services business.

The key challenge: integrating IBM employees into a Chinese company's culture. Lenovo set up its international headquarters in New York, signalling global commitment. By 2010, Lenovo became the world's largest PC supplier. The deal is a masterclass in global strategy and execution.

Management Lesson:

- Strategic Planning: IBM defined its long-term competitive advantage (services > hardware) and acted decisively.
- Contingency Theory: IBM's decision was driven by its specific competitive context — not a universal rule about hardware businesses.

CS Lesson: Cross-border divestitures of this scale require meticulous legal structuring, regulatory approvals (antitrust, foreign investment), Board resolutions, and shareholder communications — the CS is central to every step.

⭐ KEY POINTS — Quick Revision Checklist ⭐

- CS = KMP under Section 203, Companies Act, 2013 I Defined under Section 2(51).
- Threshold for mandatory whole-time CS: ALL listed companies + paid-up capital >= Rs. 10 crore.
- CS as Compliance Officer: Regulation 6, SEBI (LODR) 2015. CS as Senior Management: Regulation 16, SEBI (LODR) 2015.
- Secretarial Audit mandatory: All listed companies I Public company >= Rs. 50 Cr share capital I Turnover >= Rs. 250 Cr I Loans/borrowings >= Rs. 100 Cr.
- Secretarial Audit Report: Form MR-3 I by CS in Practice I annexed to Board's Report.
- Secretarial compliance report to stock exchanges: within 60 DAYS from end of each FY.
- Penalty for contravention of Section 204: Rs. 2 LAKH.
- 8 Duties of CS under Rule 10: Guidance to directors I Facilitate meetings I Obtain approvals I Represent before regulators I Assist Board I Advise on governance I Discharge prescribed duties I Board-assigned duties.
- CS renders services across 14 areas: Governance I Secretarial I Audit/Certification I Advisory I Representation I Arbitration I Financial Markets I Takeover/Insider Trading I Finance I Taxation I Management I Communications I HR I IT.
- ESTEMPLE: Economic, Social, Technological, Ecological, Media, Political, Legal, Ethical.
- 5 Management Functions applicable to CS: Planning I Organizing I Staffing I Directing I Coordination.
- Management theories CS must know: Taylor (Scientific) I Fayol (14 Principles) I Contingency Theory I Theory X & Y I Classical & Modern Management I MBO.